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ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

IRELAND

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

MAY 1978

BASIC STATISTICS OF IRELAND

THE LAND

Area (thousand sq. km)	70
Agricultural area, 1974, as per cent of total area	69

Population of major cities, with suburbs, 1971 census (thousands):	
Dublin, Co. Borough	680
Cork, Co. Borough	134
Dun Laoghaire, Co. Borough	99
Limerick, Co. Borough	64

THE PEOPLE

Population (April 1976)	3 162 000
No. of inhabitants per sq. km	45
Increase in population:	
Annual average 1972-1976	36 600
Natural increase in population:	
Annual average 1972-1976	34 600

Emigration:	
Annual average 1966-1971	10 782
Annual average per thousand of population	3.7
Labour force, total, April 1976	1 143 000
Civilian employment in:	
Agriculture, forestry and fishing	243 000
Industry and construction	304 000
Other sectors	474 000

THE GOVERNMENT

Public current expenditure on goods and services, 1977 (as per cent of GNP)	19
General government current revenue 1977 (as per cent of GNP)	33
Public debt, 31st December 1977 (as per cent of central government current revenue 1977)	240

Composition of Parliament (end 1977):	seats
Fianna Fail	84
Fine Gael	43
Labour	17
Others	4

Last election: Júne, 1977

FOREIGN TRADE

Exports:	
Exports of goods and services, as per cent of GNP, 1976	48
Main exports, 1976 (per cent of total):	
Meat and meat preparations	13
Machinery and electrical goods	12
Dairy products and eggs	11
Live animals	6
Textile manufactures	6
Clothing	3
Medicinal products	3
Metal ores and scrap	1
Main customers, 1977 (per cent of total):	
United Kingdom	47
Other European Economic Community	29
United States	6

Imports:	
Imports of goods and services, as per cent of GNP, 1976	55
Main imports, 1976 (per cent of total):	
Machinery and electrical goods	19
Petroleum and products	12
Textile manufactures	6
Iron and steel	3
Main suppliers, 1977 (per cent of total):	
United Kingdom	48
Other European Economic Community	20
United States	9

THE CURRENCY

Monetary unit: Irish pound

Currency unit per US dollar, average of daily figures:	
Year 1977	0.57
March 1978	0.52

NOTE An international comparison of certain basic statistics is given in an annex table.

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The annual review of Ireland
by the OECD Economic and Development Review Committee
took place on 18th April 1978.

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INTRODUCTION

The Irish cyclical experience in recent years has been roughly coincident in timing with that of the OECD area as a whole. The downturn measured by output growth was probably about average for OECD countries, the trough in activity being reached around the middle of 1975 since which time an increasingly strong recovery in output growth has been under way. During the downturn the level of unemployment among insured persons rose from a trough of 6.6 per cent in the third quarter of 1973 to a maximum of about 13 per cent at the beginning of 1976. At approximately the same time the annual rate of inflation accelerated to a peak of 24.5 per cent, and the current external deficit widened to 9.5 per cent of GDP in 1974. The magnitude of these movements was in part attributable to external influences; in addition to the decline in foreign demand, Ireland experienced a 20 per cent deterioration in its terms of trade between 1973 and 1975.

Economic performance has improved substantially over the last two years. Real GDP growth of over 3 per cent in 1976 and an estimated 5 per cent in 1977 represents a more rapid recovery than that of the average of smaller OECD economies over this period. The impetus for the recovery can probably be attributed initially to a turnaround in the domestic economy in 1976, but the continued acceleration in output growth in 1977 and that forecast for 1978 owes a considerable amount to the rapid expansion of exports. Hence, during the recovery period the current external deficit — the equivalent of about 2 per cent of GDP in 1977 — has not represented an important constraint on policies. Much of the strength of the external account is due to the very rapid increase in industrial exports which allowed the rise in imports associated with the expansion of domestic activity to be accommodated. The rate of inflation decelerated slowly at first, but during 1977 it slowed markedly to an annual rate of 10.8 per cent by end-year, compared with 20.6 per cent in the final quarter of the previous year. This downward trend continued in the first half of this year. The major disappointment during the period of recovery has been the failure of employment to grow sufficiently to make significant inroads into the level of unemployment. At present, the level of unemployment among insured persons stands at about 11½ per cent, only one and a half percentage points below its peak. Demand and output are currently buoyant which in conjunction with an expansionary policy stance suggests that 1978 will be another year of strong economic growth, with real GDP forecast to grow by 6 per cent and the rate of inflation showing a further decline year-on-year. In contrast to 1977, however, a widening of the current external deficit is forecast.

Economic policy has gone through several phases over the last few years. During the downturn it was directed largely towards supporting the level of activity and maintaining real incomes; the government deficit widened markedly with the borrowing requirement reaching 16.3 per cent of GNP in 1975. The 1976 budget, which contained stricter public expenditure control, signified a move to a less expansionary fiscal stance ; although nominal incomes grew less rapidly than in 1975, the borrowing requirement was nevertheless reduced to 11.5 per cent of GNP. In broad terms the 1977 budget continued the earlier stance, and with

economic activity quickening, the deficit was further reduced. The budget for 1978 — the first presented by the newly-elected government — represents a significant movement towards expansion with major increases in expenditure and reductions in taxes. The budget was designed to be part of a development plan up to 1980 and was preceded in January by a White Paper which set out broad objectives for raising employment and output and curbing inflation. A discussion paper which will examine policy options needed to achieve the objectives is to be published in mid-year and will be followed by a National Plan.

Part I of this survey reviews progress so far in the present recovery, concentrating on the last eighteen months. Part II describes the policy stance adopted over the last two years on the fiscal, monetary and wages front and includes a section on medium-term trends in public finance. Some medium-term issues are discussed in Part III. Part IV contains the Secretariat's assessment of the likely outcome in 1978 and the conclusions for economic policy.

I RECENT DEVELOPMENTS

Demand and output

Ireland has experienced relatively strong output growth over the last two years. In 1976 GDP grew by 3¼ per cent which, although less than the OECD average, was higher than the average for smaller European Member countries. Real GDP growth in 1977 is estimated[1] to have accelerated to over 5 per cent, the highest growth rate achieved in the OECD area. The acceleration in output growth between 1976 and 1977, owed much to the strong recovery in agricultural output following the decline in 1976. Industrial production was extremely buoyant in both years, rising by 9 per cent in 1976 and an estimated 8 per cent in 1977.

Table 1 Expenditure on GDP
Percentage volume changes (1970 prices), annual rates

	1975 £ million current prices	Average 1970/1976	1973	1974	1975	1976	1977[1]
Private consumption	2 366	2.2	5.2	−0.2	−3.2	2.8	4¾
Public consumption	700	6.2	5.9	7.9	5.6	2.1	2
Gross fixed capital formation	873	4.1	20.1	−5.3	−6.6	4.4	8
Final domestic demand	3 939	3.1	8.4	−0.3	−2.6	3.0	5
Stockbuilding[2]	−69	−0.1	—	0.5	−5.0	3.3	¾
Total domestic demand	3 870	3.0	8.3	0.2	−7.1	6.3	5½
Exports of goods and services	1 631	6.0	11.3	1.4	6.6	8.4	12½
Imports of goods and services	1 835	5.4	19.8	−1.3	−11.6	15.4	12¾
Foreign balance[2]	−204	−0.1	−4.7	1.2	8.3	−3.3	−1.0
GDP at market prices	3 666	3.1	4.3	1.4	0.4	3.2	5

1 Direct communication from Department of Finance, Dublin.
2 Contribution to growth in GDP.
Source: Economic Review and Outlook, June 1977, Stationery Office, Dublin.

1 The 1977 estimates for national accounts aggregates are by direct communication from the Department of Finance, Dublin.

The reasons for the sharp turnaround in economic activity are to be found both in the domestic economy and in the strong export performance. The largest contribution to the initial improvement came from domestic demand, particularly consumption and stockbuilding (Table 1) and largely reflected the reversal of the temporary developments in 1975 which had exaggerated the downward cyclical response in that year. Although real disposable income had risen by 3¾ per cent in 1975 an extremely rapid rise in the saving ratio meant that real consumption fell by over 3 per cent. In 1976, real disposable income was flat but a movement back towards a more normal saving ratio resulted in an increase in real consumption of nearly 3 per cent. The reasons for these relatively sharp movements in the saving ratio in Ireland are no doubt similar to those that have been advanced for other OECD countries — an increase in economic uncertainty associated with the acceleration in inflation, deteriorating business outlook, rapid stock decumulation and increasing unemployment, followed by some abatement when the worst of the business cycle had passed. In the case of Ireland, another important contribution to the movement in the saving ratio, particularly between 1975 and 1976, was that in the earlier year much of the increase in disposable income accrued to the agricultural sector (Table 2) which has a traditionally high saving ratio, while in 1976 more of the growth came from wages[2]. By 1977, with output and real incomes buoyant, consumption growth accelerated again even though the saving ratio remained constant.

Table 2 Household appropriation account
Percentage change on previous year

	1974	1975	1976	1977[3]
Nominal terms				
Agricultural incomes	−9.5	44.3	12.3	32.8
Profits and professional earnings	9.6	3.2	22.9	30.0
Non-agricultural wages, salaries and pensions	20.1	27.1	20.6	19.0
Personal disposable income	14.6	26.3	16.8	21.0
Average saving ratio in year	19.0	24.5	22.2	23.1
Private consumption	14.9	17.9	20.2	19¾
Real terms				
Disposable incomes[1]	−0.5	3.7	0	5.9
Disposable non-agricultural wages, salaries and pensions[2]	5.0	2.3	−0.2	3.5

1 Personal disposable income deflated by increase in consumption deflator.
2 Estimate based on the assumption that non-agricultural wage and salary earners pay three-quarters of total taxes on personal incomes.
3 Direct communication from Department of Finance, Dublin and OECD Secretariat.

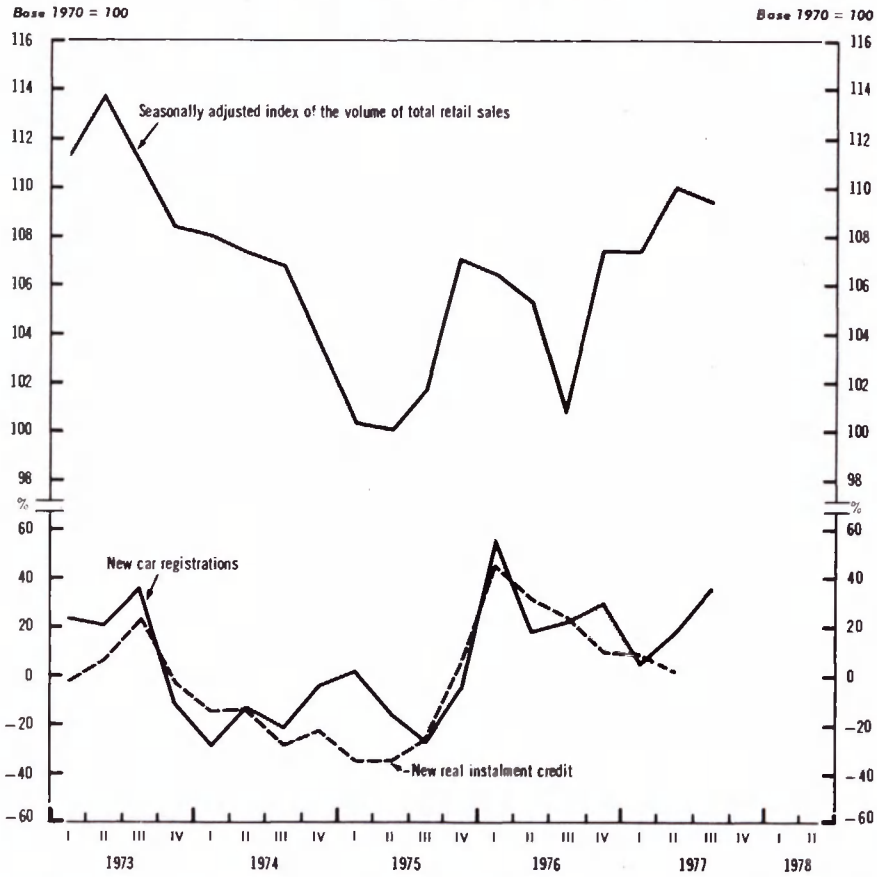
Sources: National Income and Expenditure 1975, Stationery Office, Dublin, *Economic Review* and *Outlook* June 1977, Stationery Office, Dublin.

Coincident with the recovery in the major domestic demand components, although very much smaller in terms of absolute contribution to growth, there was a sharp upturn in exports. While Irish exports are not immune from the influences of world trade, as is evidenced by their weaker than normal performance

2 Real pre-tax compensation per employee is estimated to have increased by about 3 per cent in 1976 and 2½ per cent in 1977, but after allowing for taxes the changes were —1 per cent and 2 per cent respectively. Taxes on personal income grew by 39.7 per cent in 1976 and 21.8 per cent in 1977 despite some measures in both years to reduce effective tax rates.

in 1974 and 1975, influences from the supply side have over recent years enabled them to grow, on average, much faster than would be expected from external demand considerations alone. The main influences on the supply side have been the establishment of a number of new industries with a high degree of export-orientation, many of which have come on stream over the last few years[3]. Largely as a result of the exports of these industries, total industrial exports increased in volume terms by about 17 per cent in both 1976 and 1977, after having fallen in 1975. The buoyant export performance, as well as contributing to the foreign balance directly, no doubt also had an important effect on domestic demand components, particularly fixed investment.

Diagram 1 **Trends in consumer demand**



Sources : ***Economic Review and Outlook,*** **Stationery Office, Dublin, June 1977;** ***Irish Statistical Bulletin,*** **CSO, Dublin ;** ***Quarterly Bulletin,*** **Central Bank of Ireland, Dublin.**

3 The establishment of these new industries in Ireland has been proceeding since about the middle 1950s, but their influence has become greater over the recent decade. For a fuller discussion of this essentially medium-term development, see OECD, *Survey of Ireland,* 1974, page 6 and OECD, *Survey of Ireland,* November 1976.

Gross fixed investment grew by 8 per cent in volume terms in 1977 compared with about 4½ per cent in 1976. The strongest component was investment in machinery and equipment which increased by 15 per cent and was probably associated with the pick-up in new industries' investment during 1977[4]. Indications of within-year movements for both construction and machinery and equipment investment can be deduced from figures of domestic cement sales and imports of producer capital goods respectively. These suggest that there was considerable growth through 1977 in both categories, the third quarter figures being well up on those in the first quarter. Residential construction also increased in 1977, despite a fall in the first half of the year. Dwelling completions in the third quarter jumped to a level considerably higher than in the previous year and building society loan approvals for new houses which rose in the same period grew further in the fourth quarter.

As in most OECD countries, stockbuilding played a major role in the turnaround in activity between 1975 and 1976, but its contribution in 1977 was small. The stock-cycle between 1975 and 1976 was extremely pronounced in Ireland with the change from decumulation to accumulation in non-agricultural stocks being reinforced by a similar movement in agricultural stocks. In 1977 it is estimated that the movement in agricultural stocks made a marginal negative contribution while the change in non-agricultural stocks made a small positive one. Most of the ¾ per cent contribution to GDP growth coming from stocks is accounted for by the build-up of EEC intervention stocks[5]. In 1977, as in 1976, the growth of public consumption was about 2 per cent, a much lower figure than generally recorded in the previous decade. Public investment growth in 1977 was 20.8 per cent in nominal terms, which in real terms probably amounts to a growth rate of about 3 per cent[6].

Industrial production has been extremely buoyant over the last two years, with a major stimulus coming from manufactured exports. The categories showing the strongest year-on-year increases in the final quarter of 1977 were chemicals (25.3 per cent) food processing (11.4 per cent), and metals and engineering (11.1 per cent), all of which have a high export content. The pattern of growth through 1977 was quite uneven with strong growth rates in the first two quarters followed by a decline in the third quarter and strong recovery in the final quarter. Net agricultural output is estimated to have increased by about 7 per cent in 1977, after a fall of 10 per cent in the previous year. Cattle output (excluding stock changes) rose by 13 per cent, crop production by over 20 per cent and expansion in the milk and pig sectors was also strong.

Labour market

Interpretation of recent developments in the labour market is severely limited by the lack of recent data. Although figures for registered unemployment are available up to March 1978, the most recent official data on total employment and the labour force relate to April 1976. Unemployment among insured persons after reaching a peak of about 13 per cent at the beginning of 1976, was gradually

4 Figures for investment in projects approved by The Industrial Development Authority (IDA), which may precede actual investment by a considerable period, rose in total by 160 per cent in 1977, with both domestic and new overseas categories growing strongly.

5 These comprise stocks of beef and skim-milk powder purchased by the EEC's Intervention Agency in Ireland, the Department of Agriculture. Intervention purchases arise mainly when the market price falls below the minimum price set annually under the EEC farm price review.

6 Public investment is included in the figure of 8 per cent for gross fixed investment growth in 1977. There is no official breakdown into private and public investment in constant prices.

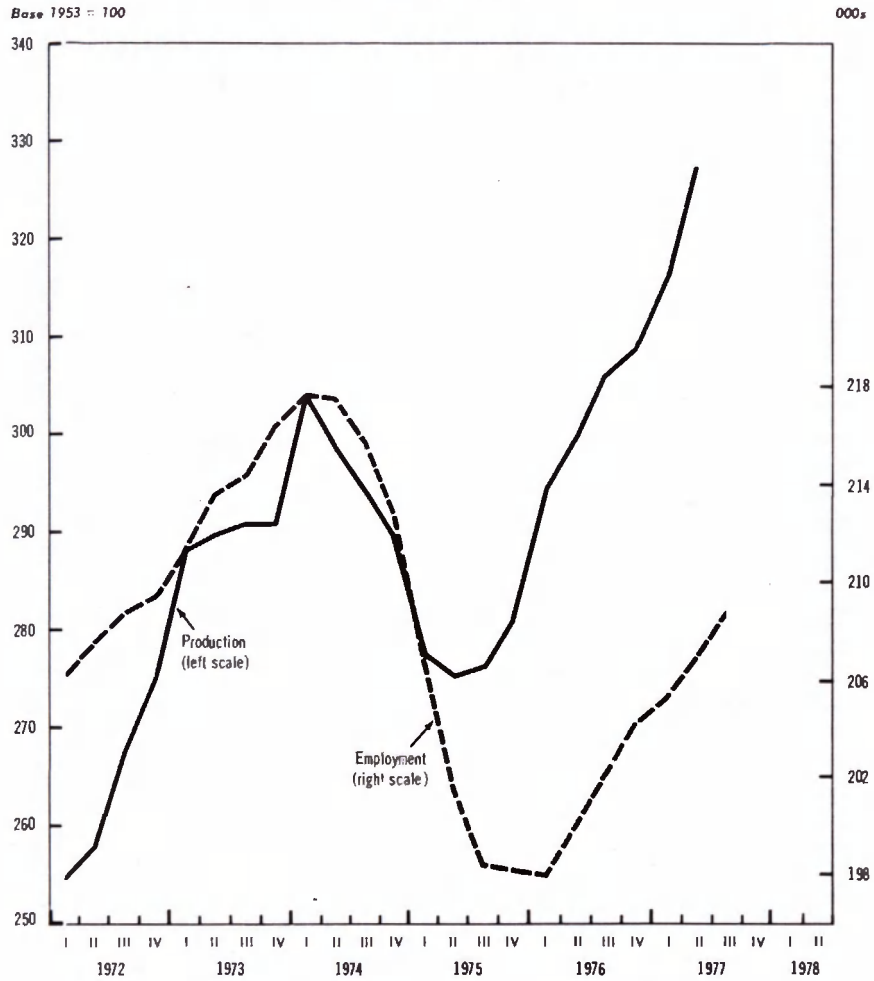
Table 3 **Labour market indicators**

	1973	1974	1975	1976	1976 I	1976 II	1976 III	1976 IV	1977 I	1977 II	1977 III
Population[1]	3 051	3 089	3 127	3 162							
Labour force[1]	1 123	1 130	1 140	1 143							
Total employment[1]	1 057	1 066	1 050	1 035							
of which: Agriculture	260	254	252	243							
Other	797	812	798	792							
Transportable gross industries[1 2]	227	232	220	214	197.9	199.9	201.9	204.1	205.1	206.9	208.8
Manufacturing industries[1 2]	217	222	210	204	187.8	189.8	191.5	191.3	194.6	195.6	197.9
Building and construction[1]	83	85	81	76							
Total registered unemployed	66.6	72.0	104.4	112.8	116.6	112.5	110.1	111.9	117.0	111.2	107.5
Insured unemployed rate (%)	7.2	7.9	12.2	12.3	12.9	12.4	12.0	12.0	12.6	12.0	11.4
Net migration[3]	7.5	5.8	5.6	1.5							
Weekly hours worked, manufacturing		41.5	41.2	41.8	40.8	41.7	42.1	42.6	42.1	42.4	

1 Annual data refer to mid-April of year.
2 Quarterly figures are averages of firms with more than three persons engaged.
3 Estimates derived from data on net passenger movement by air and sea. Minus denotes net emigration.

Sources: Economic Review and *Outlook*, June 1978, Stationery Office, Dublin; *Quarterly Industrial Inquiry*, Central Statistics Office, Dublin; *Economic Series*, Central Statistics Office, Dublin.

Diagram 2 **Production and employment in industry**[1]
Seasonally adjusted



1 Transportable goods industries.
Source: *Quarterly Industrial Inquiry,* Central Statistics Office, Dublin.

reduced thereafter to a level of 11½ per cent in the third quarter of 1977[7]. The more up to date figures on registered unemployment show year-on-year declines of some 5 000 in the early months of 1978. It is difficult to assess the reasons for the relatively small reduction in unemployment but available information suggests that it stems from slack labour demand rather than rapid labour force growth.

7 This refers to registered unemployment as a percentage of the insured labour force which is available monthly. Another measure sometimes used is registered unemployment as a percentage of the total labour force, but in this case, total labour force is only available for mid-April of each year. According to this second measure, the unemployment rate fell from 10.2 per cent to 9.4 per cent between the two dates mentioned above. These measures of unemployment would seem to be broadly comparable with methods of measuring unemployment in other countries.

Over the last few years, employment in transportable goods industries[8] has closely followed the output cycle, peaking in the second quarter of 1974 (the same time as output) and reaching a trough in the first quarter of 1976 (three quarters after output). From the trough to the third quarter of 1977 this measure of employment has increased by 6.4 per cent leaving it still 4.1 per cent below its 1974 peak. At the same time, output increased by 17.7 per cent to reach a level 3.1 per cent above its previous peak, suggesting that within this sector at least productivity growth may have assumed a greater role than employment as a means of increasing output than in the past. Part of this change is due to the changing structure of Irish industry and differences in the relative performance of the new industries and the traditional ones[9]. In the year to December 1976, the expansion of activity led to an increase in job creations in manufacturing industry of 20 400, while job losses, concentrated in the traditional industries[10] amounted to 15 800. Accordingly, the rise in employment was relatively small. Within manufacturing industry, the industries experiencing the largest increase in employment in the twelve months up to the third quarter of 1977 were chemicals, metals and engineering and other manufacturing, while the weakest industries were wood and furniture, clothing and footwear, textiles and paper and printing.

In the three years between April 1973 and April 1976 the labour force grew at an annual rate of 0.6 per cent, while the total population grew at a rate of 1.2 per cent per annum. This relatively slow rate of growth of the labour force[11] was to some extent due to reduced immigration holding down the growth of population compared with previous years, but more importantly, to the fact that the participation rate fell from 36.9 per cent in 1973 to 36.1 per cent in 1976. This latter fall does not appear to be cyclical in nature as the participation rate has shown a downward trend over most of the post-war period[12]. Since April 1976, labour force growth may have been even lower as net emigration appears to have taken place since the second quarter of 1976 and may be accelerating.

The sharp increase in unemployment experienced from the end of 1974 has not been accompanied by any major shifts in its demographic structure. The proportion of males and females on the live register[13] has altered little since 1973.

8 Comprises manufacturing industry and mining, quarrying and turf production.

9 New industries are taken to mean those in receipt of grants under the Industrial Development Authority's new industry and small industry programmes. Traditional industries refer to all other industries. While new industries have been set up in all sectors of manufacturing, growth of new industry has been concentrated in high technology sectors such as chemicals, metals and engineering and other manufacturing sectors. While recent data on differences in employment between traditional and new industry sectors are not available, some idea of the sort of process that has been proceeding for some time can be gained from D. McAleese, *A Profile of Grant Aided Industry in Ireland,* IDA, 1978. In 1966, new industries accounted for 9 per cent of total employment in transportable goods industries while by 1974 it had risen to between 24 and 28 per cent. The rise implied by these figures was greater than the rise in total industrial employment and meant that employment in the traditional sector declined during this time. Another indication of this medium-term development is that the aggregate elasticity of employment to output in transportable goods industries has fallen from 0.42 in 1961-65 to 0.34 in 1966-70 and further to —0.13 if measured over the period 1971-76.

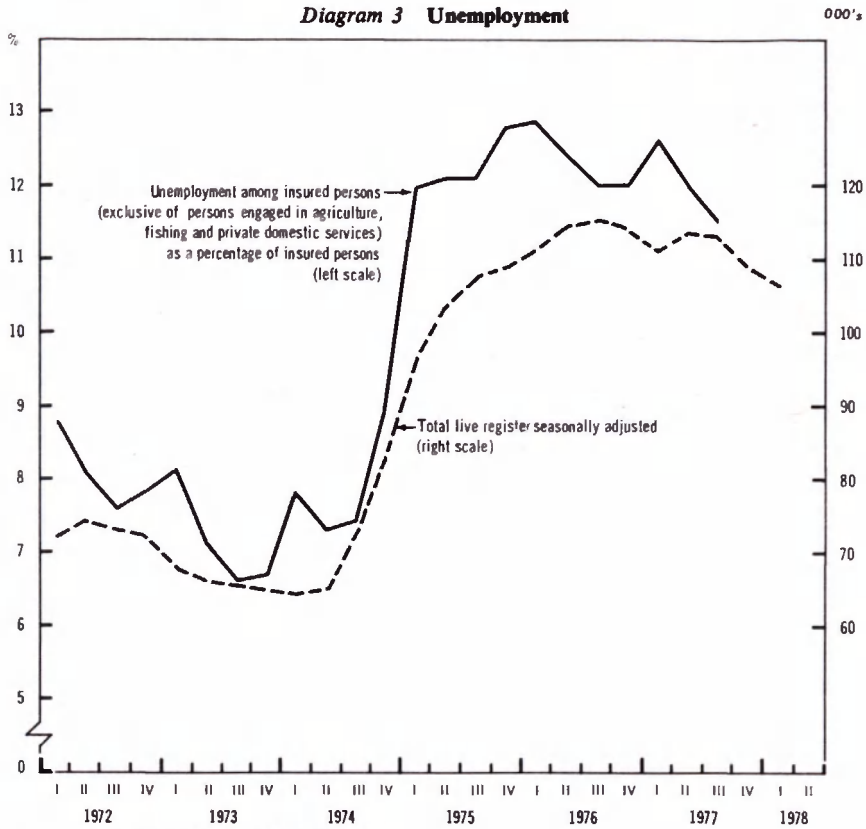
10 Communication from Industrial Development Authority.

11 Over the period 1973-1976, Ireland ranked fifteenth out of the 24 OECD countries in terms of the rate of increase of its labour force. In this context it should be noted however that while many OECD countries are likely to have little or no labour force growth from the mid-1980s onwards the rate of growth may accelerate in Ireland given the very high proportion of young people in the population.

12 See *Population and Employment Projections 1986: A Reassessment,* National Economic and Social Council, Dublin, 1977, page 54.

13 Current statistics of unemployment are obtained in the course of the administration of the Social Welfare Acts, the Unemployment Assistance Acts and the Labour Exchange Acts and are presented in the live register. Persons registered thus comprise claimants to unemployment benefit, applicants for unemployment assistance and other persons registering mainly in order to obtain credited social insurance contributions.

Diagram 3 **Unemployment**



Source: *Economic Series,* CSO, Dublin.

It is difficult to obtain a comprehensive age breakdown of unemployment but figures for the proportion of young males[14] registering as unemployed has increased from a low of 8.2 per cent of total males in 1973 to 11.2 per cent in 1976. The live register does not include most school leavers, so the actual proportion of young persons in total unemployment may have risen somewhat faster than the recorded figures suggest.

Costs and prices

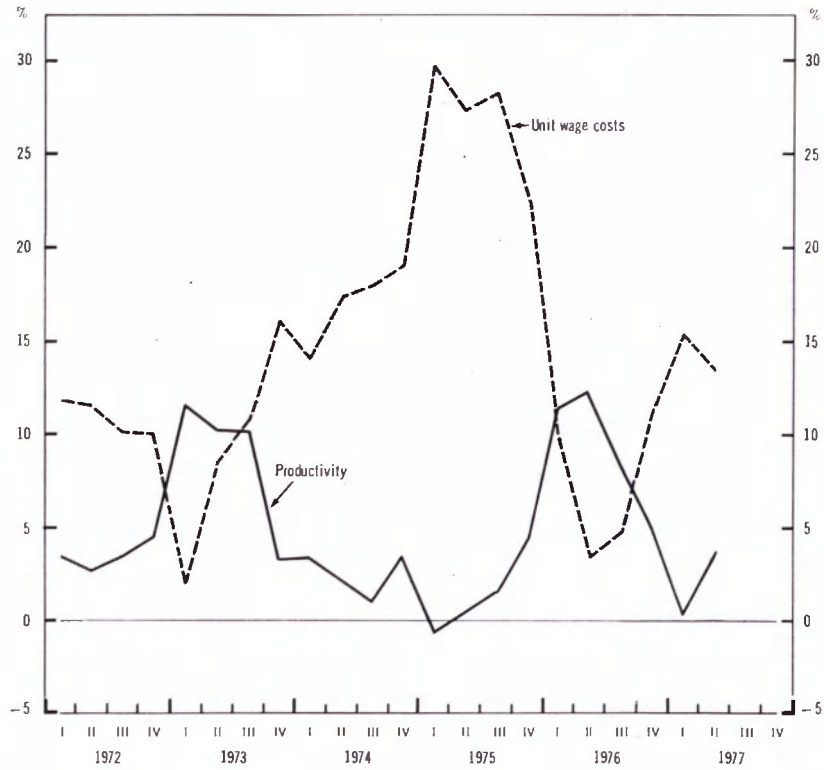
The increase in average weekly earnings in manufacturing peaked in the fourth quarter of 1975 at which time the index was 30 per cent above its level a year earlier. Since then there has been a deceleration in this index, but by the second quarter of 1977 it was still increasing at about 18¾ per cent on a year-on-year basis. This moderation was probably due to the deceleration in inflation and more moderate pay agreements since 1975. Measured in real terms there have, broadly speaking, been two phases in the recent development of earnings. During 1975 they increased rapidly to be 11 per cent higher in the fourth quarter than a year earlier. Since then, however, they have declined on average and by the second quarter of 1977 they were about 4 per cent lower than at the end

14 Male claimants to unemployment benefit and applicants for unemployment assistance who are under twenty-one years residing in towns. *Trend in Employment and Unemployment in 1976,* Stationery Office, Dublin.

of 1975. The main period of decline was in the second half of 1976 which, however, was followed by renewed growth of real earnings in the first half of 1977.

The sharp fall in profits experienced in 1975 has been followed by a period of gradual recovery. The share of profits and professional earnings in national income peaked at around 21½ per cent in 1973 and 1974, fell to 17½ per cent in 1975 but has since risen to an estimated 19 per cent in 1977. In the course of 1975, the period of rapid growth of real wages, the decline in the profit share could well have been greater but for the surprisingly strong productivity performance. Between the fourth quarters of 1974 and 1975, output of transportable goods industries declined by about 3 per cent while employment in the same sector was reduced by nearly 7 per cent. Although there may have been some labour hoarding early in the downturn, throughout 1975 the pattern was clearly one of labour-shedding, particularly in the traditional industries where the pressure on profit margins resulting from the wage developments in 1975 led to efforts to increase productivity. During 1976 as the upturn got under way, productivity growth followed the normal cyclical pattern by being extremely rapid in the early stages of recovery. In fact, employment continued to fall in the three quarters following the trough in output. By the second half of 1976, growth

Diagram 4 **Productivity and unit wage costs in manufacturing**



Notes: Productivity is defined as output divided by man-hours. Unit wage costs are hourly earnings divided by productivity both indices are expressed as year-on-year increases.

Source: *Quarterly Industrial Inquiry,* Central Statistics Office, Dublin.

of productivity slowed as output growth was met from increased employment, but for the year as a whole productivity in manufacturing industry grew by 9 per cent.

Recent inflationary experience in Ireland, as in the United Kingdom, shows two distinct peaks in the rate of increase of consumer prices. Throughout 1974, consumer prices rose rapidly largely as a result of the massive increase in import prices of over 40 per cent. The rise in the consumer price index reached a peak of 24½ per cent, year-on-year, in the second quarter of 1975 before decelerating to just above 16 per cent in the first two quarters of 1976. As is shown in Diagram 5, this deceleration in consumer prices and the subsequent reacceleration through 1976 coincided with the sharp slowdown in import prices in the course of 1975 and their later reacceleration during 1976, partly attributable to the downward movement in sterling[15]. Throughout this period, particularly during the acceleration of 1976 and deceleration of 1977, export prices have also tended to reinforce the general movement in the index[16]. Since the end of 1977, consumer prices have again decelerated with the latest observation in February 1978 showing a year-on-year increase of 8 per cent.

A number of other factors also have had an important influence on the movements in the consumer price index over the last few years. In June 1975, a fiscal package was introduced, an aim of which was to limit the increase in the consumer price index by reductions in indirect taxes. As a result of these measures[17] the index fell between the second and third quarters and showed a considerable deceleration on a year-on-year basis. In the budget of January 1976 the reverse occurred as the Government used increases in indirect taxes to raise revenue (see Part II)[18]. Over half the quarterly increases in the consumer price index in the first two quarters of 1976 were attributable to these measures. In 1977 and 1978 so far, indirect tax policies have again tended to shift the index down: the budget of 1977 contained no increases in excise duties and in August the road tax on most motor vehicles was removed. The abolition of local authority rates on domestic dwellings and certain other buildings from January 1978 should have a significant downward effect on consumer prices this year. Food prices have also fluctuated markedly, but until the second half of 1977 they tended to move in the same direction as consumer prices in general.

The sharp fall in the rate of inflation between 1976 and 1977, when it decelerated from 18 per cent to 13.6 per cent, is attributable mainly to developments during the course of the latter year. As already mentioned, tax changes during 1977 played a role in this deceleration, as did price developments in the course

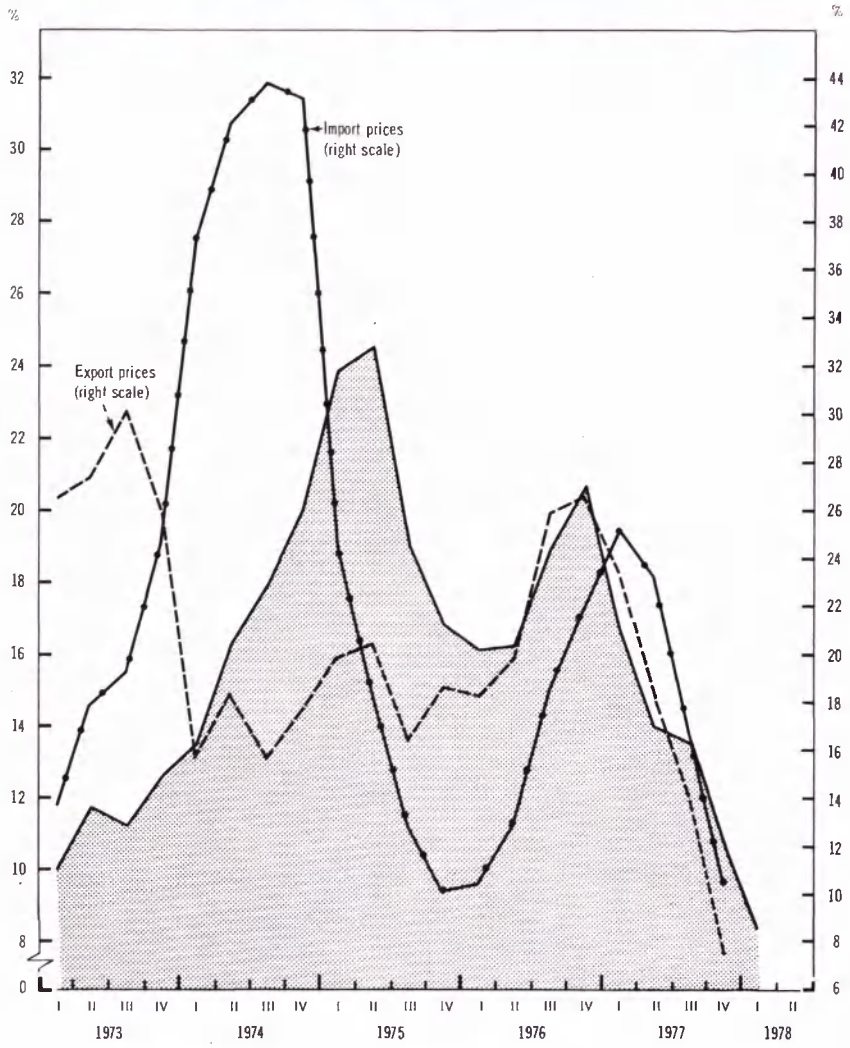
15 In addition to the evidence cited above for the external influences on the Irish rate of inflation, i.e. the parallel experience of the United Kingdom and Ireland, the graphical similarity of movement in trade prices and consumer prices and the extreme openness of the economy (the traded sector comprising over 50 per cent of GDP), there are several articles which document this process. For example, C. McCarthy, *Price Sector Equations: Preliminary Estimates,* Central Bank of Ireland (mimeo) 1977 has explained over 90 per cent of the annual movement in the consumption deflator net of taxes and subsidies using export and import prices, current and lagged. See also P.T. Geary and C. McCarthy, "Wage and price determination in a labour exporting economy: The case of Ireland" *European Economic Review,* October 1976. Also *Economic and Social Review,* Vol. 7, No. 4 and Vol. 8, No. 2 for further discussions.

16 Since exporters equalise returns from home and abroad, a rise in the export price received is normally matched by a corresponding rise in the domestic price of the exported commodity.

17 Subsidies on public transport, town gas, bread, flour, butter, milk. Removal of VAT from electricity, all fuels except road fuels, clothing and footwear. These measures are estimated to have reduced the CPI by about 4 per cent.

18 Increases in VAT rates and increased excise duties on spirits, beer, wine, tobacco and petrol. A new excise tax introduced on hydrocarbon fuels except petrol and increased road tax on motor vehicles.

Diagram 5 **Consumer prices and trade prices**



Percentage change in quarter on same quarter in previous year.
Source: *Economic Series,* Central Statistics Office, Dublin.

of 1976, but by far the largest influence seems to have come from external prices during 1977. In the twelve months to November 1977, import prices rose by 11 per cent compared with 22 per cent in the previous twelve months, while the deceleration in export prices was from 26 per cent to 7½ per cent over the same period. The effective appreciation of sterling since October 1976 assisted in the deceleration of traded-goods prices and helps explain the similarity of the slowdown in inflation in the United Kingdom and Ireland[19]. Finally the reason-

19 In the twelve months to February 1978 the year-on-year rate of increase in the United Kingdom retail price index slowed from 16.2 per cent to 9.5 per cent, while in Ireland the CPI slowed from 16.7 per cent to 8.2 per cent.

ably moderate national pay agreement of 1977 held cost pressures in check as for most of the year earnings rose less rapidly than consumer prices.

Trade and payments

The current external deficit in 1977 is estimated to have been about £120 million, slightly less than that recorded in 1976. While this level is higher than the exceptionally low figure recorded in 1975, it represents a marked improvement over the 1974 situation (£280 million) when the balance of payments was a major cause of concern to economic policy makers. At about 2.0 per cent of GDP, the 1977 current external deficit is not large by past standards. Both exports and imports of goods and services in volume terms rose rapidly in 1977, the former by 12½ per cent and the latter by 12¾ per cent. This represented a deceleration in imports compared with the previous years while for exports it was a noticeable acceleration, so that the trade picture strengthened through 1977.

Table 4 **Balance of payments**
£ million

	1974	1975	1976	1976 I	1976 II	1977 I	1977 II
Exports, fob	1 134.3	1 447.4	1 857.9	806.2	1 051.6	1 121.2	1 395.8
Imports, cif	1 626.3	1 704.1	2 335.8	1 103.8	1 232.0	1 537.0	1 546.5
Trade balance	−492.0	−256.7	−477.9	−297.5	−180.4	−415.8	−150.7
Adjustment to balance of payments basis[1]	43.3	−32.8	+27.9				
Net invisible receipts[2]	125.4	108.6	136.3				
of which:							
Transportation	51.4	58.9	84.3				
Tourism and travel	29.5	23.8	27.8				
Income from capital	15.2	−2.0	−14.5				
Current transfers	129.7	176.7	175.6				
Balance on current account	−280.2	−4.2	+138.1				
Change in official external reserves	+60.1	+180.6	+279.5	+17.2	+262.3	−25.5	270.7

1 Including net change in the intervention stocks held abroad.
2 Includes "other services" and "balance unaccounted for".

Sources: Irish Statistical Bulletin, Central Statistics Office, Dublin; *Trade Statistics of Ireland,* Central Statistics Office, Dublin; *Quarterly Bulletin,* Central Bank of Ireland.

Import demand through 1977 moved rather unevenly (Table 5). In the year to the fourth quarter, the volume increase in merchandise imports of 7½ per cent (18.7 per cent nominal) was rather less than between the full years 1976 and 1977. Consistent with the strong domestic fixed investment performance, imports of producer capital goods showed a fast nominal rise of 19.4 per cent. Consumer goods rose by 26 per cent and materials for further production by 14 per cent. After a strong first quarter, merchandise imports fell in the second quarter and, although they recovered thereafter, there was another weakening in demand in the closing months of the year. Exports grew more strongly through 1977 than did imports with a nominal increase of 24 per cent from fourth quarter to fourth quarter and a volume increase of 15½ per cent. The main impetus to export growth came from the strong and accelerating expansion of industrial exports which, between 1976 and 1977 rose by 40 per cent in nominal terms year-on-year or an estimated 17½ per cent in volume. The increase was very

much faster than the growth of markets and reflected the rapidly expanding base of industrial exports as new industries came on stream[20]. On a trade statistics basis[21], agricultural exports also rose strongly in 1977, increasing by 15½ per cent in volume, year-on-year, compared with a fall of 10 per cent in 1976. The trend away from the United Kingdom as a destination of Irish exports continued reflecting in part weak demand in the British economy last year; its share declined to about 47 per cent in 1977, down from 54 per cent in 1975 and 66 per cent in 1970.

Table 5 **External trade**

	Percentage increase			Seasonally-adjusted percentage change from previous half-year			
				1976		1977	
	1975	1976	1977	I	II	I	II
Imports, cif	4.8	37.1	32.0	19.1	18.5	7.0	7.5
of which:							
Producers' capital goods	17.9	30.3	34.1	7.9	34.2	9.5	9.5
Consumer goods	17.5	37.3	31.7	20.4	15.1	15.8	13.5
Materials for further production	−2.9	38.8	31.2	20.3	18.2	19.1	5.4
Exports, fob[1]	27.6	28.4	35.4	10.5	17.8	18.9	12.6
of which:							
Industrial	16.2	42.1	40.3	20.2	23.0	20.2	13.7
Agricultural	46.3	11.4	27.8	−1.9	11.7	12.8	16.2
Trade balance (£ million)[2]	−302.7	−451.0	−606.0				

1 Semi-annual data exclude exceptional trade in ships and aircraft. Because the component categories are seasonally adjusted separately from the total, changes in the components in any given month need not necessarily equal changes in the total.
2 Adjusted for balance of payments purposes.
Sources: Trade Statistics of Ireland, Central Statistics Office, Dublin. *Economic Review* and *Outlook,* June 1977, Stationery Office, Dublin.

Net invisible receipts appear to have grown strongly in 1977 to a figure of approximately £486 million compared with £312 million in 1976. Tourist receipts, the most important source of invisible earnings, increased by 27 per cent, and current transfers from the EEC amounted to £244 million, more than double the 1976 figure. Despite the current account deficits in 1976 and 1977, external reserves rose. In 1976, external borrowing by the Government contributed about

20 New industries in Ireland are characterised by a high degree of export orientation — in 1973 the exports to gross/output ratio of new industries averaged 72 per cent compared with 18.6 per cent in the rest of manufacturing industry. Coupled with the faster and more sustained expansion of these new industries, which between 1966 and 1974 grew at an annual rate of 30 per cent (nominal output increase) compared with 14 per cent for the rest of manufacturing industry, industrial exports have on average been able to grow considerably faster than world trade. Unfortunately it is not possible from available figures to accurately identify the lags between investment approvals, actual investment and exports as a means of predicting future exports.

21 The trade statistics includes as exports, agricultural products purchased into intervention and stored abroad. A negative adjustment is required for this item while a positive adjustment must be made for sales from intervention stores abroad, which constitute an export, but are not recorded in the trade statistics. This adjustment is in addition to the normal balance of payments adjustment.

£297 million to capital inflow, while the net inflow through the commercial banks amounted to £92 million. With an increase in reserves of £280 million, net private capital inflow[22] is estimated to have been as low as £28 million. In 1977, net inflow through the commercial banks showed exceptional strength at about £240 million, although more of it than usual is thought to have been short term (see Part II). Government external financing amounted to £200 million, and with an increase in external reserves of £245, there appears to have been a net private capital outflow of about £70 million.

II ECONOMIC POLICY

It is difficult to assess the overall stance of economic policies in 1977. Their direction, broadly speaking in the first half of the year, represented a continuation of the less expansionary stance adopted in early 1976 but there was a move towards a more expansionary stance in the middle of the year, following the election of the new government. The January 1977 budget, although incorporating certain specific incentives, included a rather low overall growth of public expenditure in real terms and resulted in a reduction in both the government current deficit and the borrowing requirement. Monetary policy, to the extent that it can exert an independent influence on the level of activity[23], probably attempted to be less than fully accommodating. Wages policy, on the basis of real wage and profit developments, also seems to have been a moderating influence. In mid-year the new government announced certain immediate job creation measures. The February 1978 budget contained a sharp acceleration in government expenditure in real terms and a deceleration in revenue. Against a background of strong income growth, the public sector borrowing requirement is nevertheless expected to increase to about 13 per cent of GNP with the government current deficit rising from 3.7 per cent in 1977 to 6.4 per cent in 1978. The rate of monetary expansion is also likely to show some acceleration even though inflation is forecast to decelerate further year-on-year.

Budgetary policy

The budget of 1977 was aimed at consolidating the results achieved during 1976 in reducing the current budget deficit and borrowing requirement as a per cent of GNP, while at the same time not inhibiting the recovery in activity which emerged during 1976. Control of government expenditure formed an important

22 This item includes direct capital inflow and portfolio transactions but excludes the banking sector. The figures for 1976 and 1977 are reasonably low by comparison with the previous three years, but not exceptionally so. In view of the large volumes of private direct foreign investment which must have been involved in the process of building up the new export-oriented industries, it is somewhat surprising that the official figures in the capital account for this item have been relatively small over the last decade or so. While the net figures are reasonably accurate it is felt that there has probably been an underestimate of the gross flows, i.e. capital inflow and capital outflow have probably been much higher than shown in the official accounts.

23 This refers to the well-known limits on the ability to run an independent monetary policy in a small open economy with a fixed exchange rate without the extensive use of foreign capital controls. In the Irish situation restraints on the ability of the banking system to lend on the basis of domestic assets can be offset by capital inflow through the banking system. However, the Central Bank attempts when necessary to control the situation though the imposition of a deposit requirement on net capital inflow.

part of the overall stance[24]. Current expenditure was budgeted to increase by about 21 per cent with the main item of growth being service of the public debt which was estimated to increase by 33 per cent. Public capital programme expenditure was also planned to rise by 21 per cent in value representing about 6 per cent growth in real terms. The budget provided certain incentives to growth and expansion for both the private and corporate sectors chiefly through revenue changes. Measures were introduced to boost disposable incomes by linking income increases under the National Pay Agreement with reductions in the level of personal income taxation[25]. In addition, the main corporation taxes were lowered and the threshold for payment of tax by small businesses was raised[26]. A further extension of the income tax system as it applies to farmers was announced. The budget did not provide for any increases in excise duties. It was officially estimated that the net result of revenue and expenditure developments in 1977 would be a current account deficit of £220 million equal to 4 per cent of GNP. In the event, the outturn figures on both current and capital account were very close to the original estimates, though this masks quite significant changes in actual levels of revenue and expenditure compared with the budget estimates. Revenue was £53 million less than estimated mainly due to subsequent changes in taxation provisions for farming profits, abolition of road tax on small cars and reduced yields from tobacco duties and value-added tax. Expenditure was £80 million less than expected due particularly to savings on salaries and debt service. Reflecting the strength of sterling, the latter item rose by only 20 per cent compared with the budget estimate of 33 per cent.

Table 6 **Government current expenditure**
£ million

	1973/74	Apr.-Dec. 1974	1975	1976	1977[1]	Pre-budget estimate 1978
Service of public debt	151.5	146.1	241.5	337.0	403.3	497.1
Social services	336.4	311.5	598.5	724.5	840.1	945.7
Economic services	128.0	107.2	171.5	198.8	217.4	236.1
General services	130.5	122.3	219.0	260.9	294.8	338.3
Other expenditure	52.6	56.4	101.4	146.1	202.8	301.7
Total current expenditure	799.0	743.5	1 332.0	1 667.3	1 958.4	2 318.8
of which:						
Public service wage and salary bill	253.1	237.5	448.9	530.4	606.1	676.3
Current government expenditure as per cent of GNP	29.1	24.8 (9 months)	36.1	37.1	36.6	

1 Provisional.

Note: In 1978, some expenditures were reclassified from capital to current and vice versa. This table and Table 7 reflect the revised classification.

Source: Budget 1978.

24 On this latter the stated objective was to continue the restructuring of the public finances, so as to ensure that public expenditures complement rather than crowd out the effects of the private sector and so as to continue the start made in 1978 in reducing the dependence on borrowing in keeping with the requirements of conditions of economic recovery, Budget 1977 page 47.

25 Reductions in personal income tax rates costing £50 million in 1977 and £72 million in a full year together with a job creation programme costing £55 million were granted in support of the terms of the 1977 NPA.

26 The 50 per cent corporation tax rate was reduced to 45 per cent and the 40 per cent rate to 35 per cent. The corporation tax thresholds for small firms of £5 000 and £10 000 were increased to £10 000 and £15 000 respectively.

The budget for 1978[27] followed closely the pre-election programme of the new government. The fiscal stance is very expansionary with the volume of current and capital expenditure expected to increase by 7 per cent and around 4¾ per cent respectively, while in addition there are some reductions in taxes. Secretariat calculations of the direct impact of the budget would put it at about 2 per cent of GDP. For 1978, the primary aim of fiscal policy as officially announced is to impart a stimulus which will lead to faster self-sustained growth through expansion of the private sector while at the same time using direct employment and government incentives to realise specific job creation targets. These targets now comprise 11 000 (about 1.0 per cent of labour force) extra jobs in the public sector, 6 600 extra jobs in the building and construction sector and 5 000 extra jobs through youth employment projects.

In addition to the job-creating measures, the budget provided for some increases in public expenditure and a number of taxation measures. The most significant are:

i) 10 per cent increase in weekly social welfare payments from April 1978[28].

ii) Increased personal income tax allowances of £200 for single persons and £630 for married couples.

iii) The three year scheme, introduced in the 1977 budget, which provided for a rate of corporation tax of 25 per cent compared with the standard rate of 50 per cent was modified. As originally introduced the lower rate of tax was available to firms who increased employment and the volume of sales by 3 per cent and 5 per cent per annum respectively. In the 1978 budget the condition requiring an increase in the volume of sales was dropped.

iv) Free depreciation of new plant and machinery to be allowed as a normal and continuing feature of capital allowance arrangements for the whole country[29],

v) Corporation tax threshold for small businesses increased[30].

For the second year running the budget did not contain increases in excise duties. Along with the removal of rates[31] on domestic dwellings and certain other buildings from January 1978, at an estimated cost of £57.5 million, this will mean that indirect taxes will serve to reduce the rate of increase in the consumer price index in 1978. The wealth tax, which was introduced in 1975 is to be abolished from April this year and the budget also provides for small modifications in both capital gains and capital acquisition taxes. The single discretionary increase in taxation contained in this year's budget was made in relation to the assessment of farm incomes for income taxation purposes. The largest increases in the public capital programme are for housing (40 per cent) and other building and construction projects, while substantially increased provision is also made for telephones, energy and other projects. The net result of current expenditure and revenue changes is a widening in the current budget deficit from £201 million in 1977 to an estimated £405 million in 1978. To this must be added the Exchequer borrowing requirement for capital purposes estimated at £416 million (£344 million in

27 The budget was presented on 1st February 1978. For full details see Annex.

28 Unemployment assistance rates for small agricultural holders whose means are assessed notionally and whose net land valuation exceeds £15 but not £20 are excluded from this increase.

29 Previously free depreciation was on a permanent basis in the so-called designated areas, mainly the western counties. In all other areas free depreciation has been subject to renewal at two-year intervals since its introduction in 1971.

30 From £10 000 and £15 000 respectively to £25 000 and £35 000 respectively.

31 An indirect tax on land, houses and buildings administered by local authorities.

Table 7 **Public capital programme**
£ million

	1973/74	Apr.-Dec. 1974	1975	1976	1977[1]	Estimate 1978
1 Direct building and construction	134.0	126.7	195.6	195.9	213.5	289
of which: housing	68.2	70.5	115.5	107.1	100.5	140.6
2 Agriculture	11.6	9.5	17.5	23.8	31.9	31.4
3 Loan finance to agriculture	43.1	30.4	43.1	58.8	84.9	90.0
4 Energy	34.2	30.2	42.9	50.0	70.8	79.9
5 Telephones	24.0	23.0	47.2	48.0	50.5	61.0
6 Industry	32.8	27.6	64.4	93.3	120.3	110.3
7 Loan finance for industry	15.8	20.1	24.4	29.0	37.3	41.1
8 Other	26.3	22.0	35.2	48.7	49.3	2.9
Total	321.8	289.5	470.3	547.5	658.5	765.6
Memorandum item:						
Total public capital expenditure affecting the building and construction industry	n.a.	n.a.	233.6	306.2	372.4[2]	458.0

1 Provisional.
2 Estimate.
Note: See note to Table 6.
Source: Budget 1978.

1977) leaving a total Exchequer borrowing requirement of £821 million for 1978 or 13 per cent of GNP compared with 10.2 per cent in 1977.

Monetary policy

The broadly defined money supply grew by about 16½ per cent in 1977, a little above the rate in 1976 (14½ per cent). This was consistent with the Central Bank's indication[32] that a rise in the broadly defined money supply of not more than 16 per cent and a rise in non-government lending of not more than 18 per cent would be an appropriate outcome. This outcome occurred even though real growth was somewhat faster than expected at the time, inflation only marginally lower, and the current external deficit was nearly £100 million lower than forecast. The associated banks operated for most of the year near their minimum primary liquidity ratio and there was a larger than normal proportion of non-government lending provided by capital inflow through the banks.

In the twelve months to December 1977 the broadly-defined money supply increased by £458 million or 16 per cent, the main impetus coming from the growth of non-government lending. With economic activity buoyant and strong demand for credit by the personal sector this category of lending rose by

32. There is no formal system of monetary targets in Ireland. Since 1976, however, the Central Bank has indicated its expectation for the growth of the monetary aggregates over the coming year in its annual report released during the first quarter of the year some time after the budget. If the Central Bank wished to influence the level of activity directly by establishing a rate of monetary expansion significantly different from that implied by the demand for credit at the going interest rate, it would need to either use new instruments or enforce some existing instruments more fully. At present there is a 50 per cent deposit requirement for capital inflows throught the banking system but in the case of major industrial projects and certain acceptance credits it is subject to exemption.

Table 8 **Formation of the volume of money**

	Dec. 1974/ Dec. 1975	Dec. 1975/ Dec. 1976	Dec. 1976/ Dec. 1977
1. Exchequer borrowing requirement	601	505	545
Less:			
(2) Sales of securities to domestic non-bank private sector	101	117	125
(3) Government uptake of small savings	39	53	102
4. Monetary financing of Exchequer[1] = (1) − (2) − (3) = (8) + (9) + (10)	426	297	308
of which:			
(5) External borrowing	164	324	86
(6) Sales of securities to non-residents[2]	90	n.a.	129
(7) Change in government position at Central Bank[3]	−56	−104	−72
8. Government contribution to increase in money base (5) + (6) + (7)	198	220	143
(9) Licenced banks' lending to government	135	66	154
(10) Lending to the intervention agency	93	11	11
(11) Change in reserves net of government borrowing	−73	−44[4]	30
12. Increase in money base (8) + (11)	125	176	173
(13) Non-government lending (including acceptance assets of banks)	143	370	524
Less:			
(14) Net external liability of the licenced banks	26	76	269
(15) Net non-monetary liabilities	76	197	135
16. Increase in M3 (9) + (10) + (12) + (13) − (14) − (15)	394	350	458
Percentage increase	19	14.3	16.3

1 Monetary financing of the Exchequer derived from budget data, item (1) — (2) — (— 3), is not exactly equal to items (8) + (9) + (10) from the consolidated balance sheet of the banking system. The latter definition is taken in the above calculations.
2 Refers to the nominal and not the cash value of sales.
3 Comprises the change in government deposits at the Central Bank and Central Bank lending to government.
4 Includes £106 million due to revaluation of reserves as a result of exchange rate changes.
Sources: Items (1) to (3) are taken from the Budget. The remaining items are from the Central Bank *Quarterly Bulletin* and from information supplied directly by the Central Bank of Ireland.

£439 million or 22 per cent. A considerable part of the strength of non-government lending was based on capital inflow amounting to £269 million through the licenced banks. The discounting abroad of acceptance credits (£100 million) was a major component of this flow, and resulted in part from the lower interest rates on short-term borrowing in London compared with Dublin[33]. Monetary financing of the Exchequer totalled £308 million (Table 8), much the same as in 1976. With an Exchequer borrowing requirement of £545 million and sales of government securities to the domestic non-bank private sector in line with recent years, the extent of monetary financing was somewhat reduced by a doubling of lending of small savings to the government (see below).

Bank lending between sectors was uneven in 1977. Lending to manufacturing actually declined but this is a reflexion of that sector's ability to avail itself of acceptance credits and thus take advantage of the slightly easier credit conditions in the United Kingdom. On the other hand, lending to the

33 The acceptance credits are commercial bills drawn on Irish banks which are then discounted in London giving rise to increases in the net external liability and acceptance assets of the banks.

personal sector was extremely strong, as in 1976, and accounted for 43 per cent of the total increase in advances. Instalment credit also grew strongly with an increase through 1977 of 35 per cent. Building societies recorded a very strong growth of deposits and shares during the year and, while their lending was also buoyant, their liquidity ratio at the end of 1977 was higher than a year earlier. The inflow into building societies probably benefited from the widening differential between their deposit rates and those paid by the licenced banks, as bank interest rates fell more sharply during 1977.

Table 9 **All licenced banks - analysis of advances**
Percentage change November to November

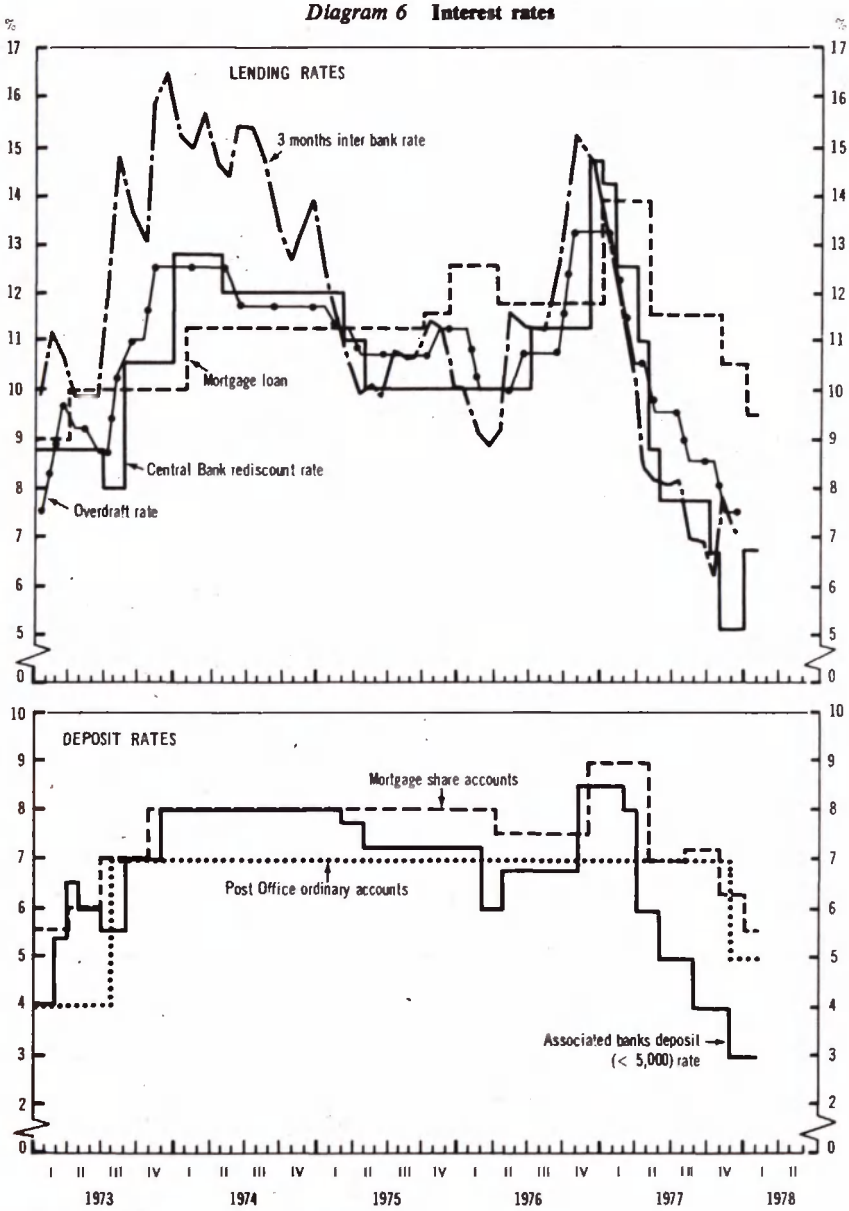
	1975	1976	1977
Agriculture	7.1	42.4	29.2
Building and construction	−1.9	8.5	15.6
Manufacturing	10.9	24.2	−2.3
Financial	7.8	−5.1	6.4
Services	6.8	32.9	21.7
Personal	13.5	39.2	36.1
All other categories	50.5	13.7	2.9
Total (Non-Government)	10.8	26.8	17.5

Note: These figures comprise loans, bills, overdrafts and promissory notes but exclude amounts lent by way of instalment credit and leasing arrangements.
Source: Quarterly Bulletin, Central Bank of Ireland.

Interest rates fell sharply for much of 1977 following the movements in the United Kingdom. The Irish prime lending rate tended to lag the United Kingdom equivalent slightly as it changed less frequently and by a smaller amount over the year. The decline in interest rates was halted in November in both countries when the United Kingdom allowed sterling to float upward. The subsequent rise in United Kingdom money market rates was accompanied by an increase in inter-bank rates in Dublin. Several changes in interest rate relativities accompanied the overall downward movement in rates during the year. As mentioned above, building society deposit rates did not fall as sharply as bank interest rates, and by end-year the differential was still extremely large by past standards. Similarly the rate of interest on Post-Office and Trustee Savings Banks accounts was not adjusted downwards in line with the general fall in interest rates until end-year. This may largely account for the sharp rise in lending to the government from this source in 1977.

For 1978, although the fiscal policy position is known, the preliminary indications on the course of monetary policy have not yet been published. With buoyant domestic activity, and another strong year forecast for fixed investment, demand for credit from the private sector should continue to grow substantially. On the basis of past behaviour it could grow by more than the increase in nominal GDP which would imply a figure for the increase in non-government lending by the banks of the order of £450 million. With an Exchequer borrowing requirement of £820 million in 1978, the unfunded government deficit could be of the order of £550 million, if lending from the domestic non-bank public follows the pattern of previous years. Conceivably, lending from the domestic non-bank

Diagram 6 **Interest rates**



Source: ***Quarterly Bulletin,*** **Central Bank of Ireland.**

public could be lower than last year, as interest rate expectations are less favourable. However, the flow of small savings in the first quarter of 1978 was substantially higher than a year earlier despite some erosion of the favourable interest rate differential that prevailed for most of 1977. Taking together the demand for credit from the private sector and the likely size of the government's unfunded deficit, it would seem likely that the pace of monetary expansion could speed up considerably in 1978. In these circumstances, where the stance of fiscal policy

and debt management are taken as given, monetary policy could lead to a reduction in the pace of monetary expansion but the task would be difficult, a subject returned to in the conclusions.

Medium-term trends in public finances

Recent developments in fiscal policy continue a longer-run trend of rapid growth in the public sector in Ireland which together with their implications for monetary management have been discussed in some earlier OECD Surveys[34]. This section presents an updated summary of a number of important aspects of public finances with particular reference to their developments in the 1970s. While some of the features described have been common to other OECD countries, the order of magnitude may be different in the case of Ireland. Total public expenditure as a proportion of GDP has risen secularly in Ireland, as in most OECD countries, since the late 1950s. Between 1967-69 and 1974-76 the increase from 33.7 per cent to 49.4 per cent was more rapid than for OECD countries as a whole. In a ranking of eighteen OECD countries according to the share of total public expenditure in GDP, Ireland moved up from tenth place in 1967-69 to third in 1974-76[35]. Between 1970 and 1977 total government expenditure in real terms increased at an average annual rate of 6.3 per cent[36] compared with the growth of real GDP of 3.4 per cent. Of this total current expenditure increased at an average rate of 7.5 per cent compared with 2 per cent for capital.

During the 1970s, tax revenue although rising considerably faster than in the previous decade, has risen somewhat more slowly than expenditure. The composition of Irish tax revenue is heavily weighted towards indirect taxes; a recent OECD comparison of fifteen countries[37] showed Ireland with the largest share of total revenue coming from indirect taxation. The reason for the relatively low yield from direct taxation is not that the average rates of direct taxation are low but that the base is limited. It is only in recent years that agricultural

Table 10 Summary of budget transactions 1972-1978

	1972[1]	1973[1]	1974[2]	1975[3]	1976	1977[4]	1978[5]
Current expenditure	664.5	803.3	944.5	1 350.0	1 671.6	1 958.0	2 368.0
Percentage increase	16.3	20.9	17.6	42.9	23.8	17.1	20.9
Current revenue	659.1	792.9	849.6	1 091.2	1 470.2	1 757.0	1 963.0
Percentage increase	15.7	20.3	7.2	28.4	36.6	19.5	11.7
Current deficit	5.5	10.4	94.9	258.8	201.4	201.0	405.0
(As proportion of GNP)	(0.3)	(0.4)	(3.2)	(7.0)	(4.5)	(3.7)	(6.4)
Public capital expenditure financed by Government	128.2	180.6	263.4	342.3	304.2	344.0	416.0
Exchequer borrowing	133.7	191.0	358.3	601.1	505.6	545.0	821.0
(As proportion of GNP)	(5.6)	(6.8)	(12.1)	(16.3)	(11.3)	(10.2)	(13.0)

1 Year relates to period April of year to March of next year.
2 Data for 1974 are one-quarter of 1973/74 figures and figures for April-December 1974.
3 Since 1975 financial year corresponds to calendar year.
4 Provisional.
5 Estimates.

Sources: Budget, various years, *Economic Review and Outlook*, June 1977, Stationery Office, Dublin.

34 See in particular OECD, *Economic Survey of Ireland*, March 1974.
35 *Public Expenditure Trends*, Paris, OECD, 1978.
36 Government expenditure and its components have been deflated by the GDP deflator in these comparisons.
37 *Public Expenditure Trends*, Paris, OECD, 1978.

incomes have been to some extent subject to direct tax, and a number of incentives to industry, notably the exemption of profits on export earnings from company taxation, have further limited the base. Reluctance to increase indirect taxes because of their direct effect on the CPI, and to increase direct taxes because any appreciable increase in yield from the present base would involve a substantial rise in the tax burden, has limited the scope for the use of taxation as a means of meeting the rise in expenditure.

Traditionally, Ireland has maintained approximate balance in the current budget, but a positive Exchequer borrowing requirement due to government financed capital expenditures. Following 1973, however, the government current account went into substantial deficit, peaking at 7 per cent of GNP in 1975 before falling back to 3.7 per cent in 1977 (Table 10). In addition, major increases were made in capital expenditure, with the result that the Exchequer borrowing requirement was pushed up to 16.3 per cent of GNP in 1975 before falling back to about 10 per cent in 1977[38].

As well as changes in the size and composition of the government deficit between current and capital accounts in the 1970s compared with earlier years, there have also been changes in the manner in which it has been financed. During the 1960s about 9 per cent of the Exchequer borrowing requirement was financed externally. However, starting in about 1974, an increasing proportion of the borrowing requirement was met from official overseas borrowing (Table 11). If sales of securities to non-residents are added to official borrowing this would increase the proportion of overseas financing in recent years. For example, the figures for 1975 and 1977, would be increased to 42.4 per cent and 39.9 per cent respectively when these sales are added[39]. The growth of official overseas borrowing has also had an impact on the composition of the capital account of the balance of payments. During the 1960s official external borrowing accounted for about 9½ per cent of net capital inflow, with private direct investment being the largest component at 40 per cent. In the five years to 1975, however, the position has been reversed with official borrowing accounting for 41.2 per cent and private direct investment for only 15½ per cent.

Table 11 Government debt 1972-1977

	1972/73	1973/74	1974	1975	1976	1977
Proportion of exchequer borrowing requirement financed externally	17.0[1]	24.4[2]	44.6[3]	27.2	64.0	15.8
Total Government debt outstanding (£ million)	1 421.1[1]	1 622.2[2]	1.957.9[3]	2 743.8	3 612.0	4 210.0[4]
Of which: External (per cent)	8.9[1]	10.3[2]	15.9[3]	17.2	28.8	24.9[4]

1 Refers to 31 March, 1973.
2 Refers to 31 March 1974.
3 Refers to one-quarter of 1973/4 plus April-December 1974.
4 Estimates.
Source: Budget Statements; direct communication from Department of Finance, Dublin.

38 Despite the large public sector deficits experienced in recent years in Ireland, debt servicing charges as a percentage of revenue or of GDP have hardly risen. For example, total debt servicing as a percentage of tax revenue rose from 24.5 in 1971 to 25.2 per cent in 1977, and as a percentage of GDP from 7 per cent in 1971 to 8½ per cent in 1977. High rates of inflation, which raise nominal GDP and tax revenues, but not the stock of outstanding debt or their servicing costs, account for this.

39 The figures for 1975 and 1977 are the only ones available.

The contribution of the government deficit to the growth of the money supply has increased in the 1970s or more particularly in the post-1974 period. On average over the years from 1972 to 1977 about two-thirds of the Exchequer borrowing requirement has been met by monetary financing (official external borrowing, sales of securities to non-residents, changes in the government position at the Central Bank and commercial bank lending to the Government). When taken in conjunction with the increase in the size of the borrowing requirement after 1974, the result has been to markedly increase the proportion of the growth in the broadly-defined money supply emanating from the unfunded government deficit; indeed in 1974 and 1975 the latter exceeded the former. On the whole, the need to finance the budget deficit does not seem to have pre-empted private sector credit, partly because in the years of maximum strain, 1974 and 1975, the demand for private credit was weak. But even in 1976 and 1977 when there was substantial monetary financing of the Exchequer and private sector credit was buoyant, the latter was accommodated without strain.

Table 12 **Exchequer borrowing and the money supply**

		Mar. 1972/ Mar. 1973	Mar. 1973/ Mar. 1974	Mar. 1974/ Dec. 1974	Dec. 1974/ Dec. 1975	Dec. 1975/ Dec. 1976	Dec. 1976/ Dec. 1977
1	Government borrowing	133.7	191.0	310.5	601.1	505.6	545.0
	Of which:						
2	Monetary financing	69.0	167.0	277.0	426.0	297.0	308.0
3	Other foreign transactions[1]	−25.0	−19.0	−82.0	−73.0	−44.0	30.0
4	Bank lending to the private sector	271.0[2]	255.0[2]	79.0[2]	143.0	370.0	524.0
5	*Less:* Net external liability of the banking system and net non-monetary liabilities[3]	34.0	77.0	30.0	92.0	273.0	404.0
6	Increase in M3	281.0	326.0	244.0	394.0	350.0	458.0
7	Percentage increase in M3[4]	23.8	22.3	13.7	19.0	14.3	16.3
				In per cent			
8	Proportion of increase in M3 attributable to Government	24.6	51.2	113.5	108.1	85.1	67.2

1 Change in external reserves not resulting from external borrowing by Government.
2 Does not include acceptance assets.
3 Includes capital and reserves, premises, acceptances.
4 Increase in year from December.

Sources: Budget, various years; *Quarterly Bulletin,* Central Bank of Ireland, various issues.

Wages policy

Following the deceleration in wage increases achieved under the 1976 Interim National Pay Agreement, efforts were made to secure further moderation in 1977. The budget of January 1977 contained a number of provisions aimed at gaining ratification of the terms of the proposed 1977 National Pay Agreement (NPA)[40]. These terms were ratified in February to form the 1977 NPA. The Agreement was of fourteen months duration, the longest national agreement since 1972. It provided for a three months pay pause following the expiry of the 1976 Interim

40 These included reductions in personal income taxation subject to moderate wage increases and an employment-creating public expenditure package in respect of which an allocation of £55.5 million was made (see section on Budgetary policy).

Agreement and for increases in basic pay thereafter in two phases of seven months and four months duration respectively. The first phase provided for a 2½ per cent increase in basic pay plus a flat £1 per week subject to a maximum increase of £4.13 per week or an increase of £2 per week if this was greater. The second phase provided similar rates of increase subject to a maximum increase of £4.23 per week or an increase of £2 per week if this was greater. In 1977, the NPA probably added about 5 per cent to basic pay rates. When this is combined with the carryover effect from the 1976 Interim NPA basic pay rates rose by about 11½ per cent on average in 1977 compared with 1976. In addition, wagedrift would probably have added something of the order of 3 per cent to this basic increase. On the basis of the movements in real earnings, and the progress made towards reconstitution of the profit share in 1976 and 1977, the pay agreements in those two years made a significant contribution to improving the employment and inflation performance.

The Government's wage target for 1978, presented in its manifesto and in the budget as being consistent with its move to a more expansionary fiscal stance, was for an increase in basic pay of 5 per cent for 1978. However, despite the adoption of the expansionary budget on 1st February, the 5 per cent figure was not achieved in the negotiations for the 1978 NPA. The agreement which has emerged is for fifteen months and is effective from the expiry dates of the 1977 NPA, that is from 1st January 1978 for approximately one-third of the unionised workforce and from 1st March 1978 for the remainder. The first phase of twelve months provides for an increase in basic pay rates of 8 per cent or £3.50 per week, whichever is greater. The second phase provides for an increase of 2 per cent. Accordingly the basic provisions of the agreement imply an increase in pay rates of 7 per cent through 1978. In addition, the agreement provides for a 2 per cent increase which may be negotiated at firm level over and above the increase contained in the first phase.

III SOME MEDIUM-TERM ISSUES

The 1977-1980 development programme

In January 1978 the Government tabled in Parliament a White Paper on national development to 1980[41]. While not directly specifying policy, the White Paper outlined the economy's potential for development, the main social and economic issues and the measures to deal with them and the overall action needed up to 1980 in order to achieve the Government's objectives. The most important goals are a substantial increase in employment, a reduction in inflation, maintenance of competitiveness, the expansion of productive investment and an improvement in economic efficiency. The 1978 budget represents the first phase of the Government's development programme and this is to be followed later in the year by a Green Paper and a National Plan which spell out in detail the objectives and medium-term policies.

The White Paper and the 1978 Budget represent an ambitious attempt to improve the performance of the Irish economy over the period to 1980. Understandably, the reduction of unemployment is given high priority. On the basis

41 *National Development, 1977-1980,* Stationery Office, Dublin.

of the expected growth of the labour force, redundancies and the outflow from the agricultural sector, it is officially estimated that 20 000 new jobs are required each year simply to maintain unemployment at its current high level. This compares with some 17 200 new jobs created on average each year over the period 1973 to 1976. The authorities in their development plan are in fact aiming to create an annual net increase of 29 000 new jobs outside the agricultural sector between 1978 and 1980, and thus bring about a considerable fall in the numbers unemployed. With the pattern of expenditure envisaged (Table 13) it is officially estimated that a 7 per cent annual growth rate of real GDP will be needed to achieve the employment target and hence bring down unemployment. A key feature is the projected sharp rise in exports which is clearly an uncertain assumption. The rate of growth of world trade underlying this assumption is not explicitly stated, but it is assumed that action will be taken to boost demand in countries well placed to do so. Nevertheless, the current external deficit is officially expected to rise sharply from about £120 million (2 per cent of GNP) in 1977 to over £500 million (6¼ per cent of GNP) in 1980[42]. It is also projected that the rapid rise in activity will be compatible with a further reduction in inflation to around 5 per cent in 1980.

Table 13 Past and projected annual growth rates
Volume, percentage changes

	1961/65	1966/70	1971/75	1978/80[1]
Private consumption	3.3	4.5	2.0	6
Public consumption	3.3	4.9	7.2	3
Investment	13.1	6.9	4.0	12 (incl. stocks)
Exports	8.5	7.7	5.5	12
Imports	10.8	7.6	2.9	11
GDP	3.7	5.0	3.1	7

1 Official projections.

Sources: National Income and Expenditure, Stationery Office, Dublin. The projection for 1978-1980 is taken from the Government *White Paper, National Development* 1977-1980, Stationery Office, Dublin, 1978.

Although the development programme envisages a much stronger growth of output, exports and investment, than experienced over the extended period in the past, this does not mean that the main targets of the programme cannot be achieved. But it does suggest that success will not be easy. Indeed, the authorities list four main areas in which constraints may be encountered, namely: investment and its financing, the public sector deficit, the balance of payments and the rate of growth of world trade. Careful management of both demand and incomes will be needed to minimise these constraints. Even so, there are problems involved in the strategy adopted. The following paragraphs discuss some of these which concern the balance of payments, inflation, the relationship between employment and output and public finance and monetary management.

42 At the time this projection was prepared, the likely outturn for the balance of payments was estimated at around £200 million in 1977. The subsequent revisions to the base year figures, together with the projected growth rates contained in the White Paper suggest that the projected deficit on current account in 1980 could be revised to around £400 million.

Balance of payments

Ireland's external liabilities are probably not an important constraint, the net debtor position being relatively small. It seems reasonable therefore to take advantage of this in an effort to strengthen the domestic economy and increase employment. Although financing the deficit of the size envisaged may be possible, it would raise Ireland's external position to one of large indebtedness. The difficulties associated with this approach are recognised by the Government, who are also aware that if the balance of payments deficit exceeded significantly the projected level, the growth strategy would require review. The assumption adopted with regard to world trade is based on the premise that the widespread calls for the expansion of demand internationally and particularly those made within the framework of OECD and the European Council will be acted on. Although the relatively weak development of world trade does not seem to have unduly inhibited Irish export performance in the past, the export target implies a large switch of resources into the investment and export sectors, which apart from doubts about the growth of world trade may be difficult to achieve in view of the inflation risks and the pattern of expenditure projected (see below).

Inflation

Past experience in Ireland indicates that sustainable growth depends on exports, which in turn depends on competitiveness to widen markets and attract new investment projects which broaden the industrial base. It is implicit in the development programme that the necessary condition of obtaining lower rises in costs and prices than in partner countries will be met. Recent developments, although markedly improved, and the problems associated with the fast growth strategy suggest that this may be optimistic.

Wage costs per unit of output in manufacturing industry accelerated from a rise of 11.0 per cent in 1972 to 27.0 per cent in 1975 and, despite the expansion of output were increasing at a year-on-year rate of 13 per cent in the first half of 1977. As noted earlier, non-agricultural wages per employee are expected to rise by 16 per cent in 1978 which together with the forecast increase in non-wage costs and profits and productivity changes seems unlikely to importantly reduce pressures on costs and prices in the near future. In addition, just as the exceptionally rapid acceleration in the rate of inflation in 1974 was due to special factors, the recent favourable price developments were assisted by favourable external developments, which may no recur on the same scale in the period to 1980. This emphasises the importance of restraint in relation to the domestic factors affecting costs and prices especially the rate of increase in nominal incomes. It needs to be stressed that success is unlikely unless it is fully accepted that standards of living can be increased with substantially lower increases in nominal incomes and prices than in recent years.

Employment and output

The historical relationships between the growth of output and employment over the period 1960 and 1974 suggest that very rapid growth of output in industry and services is necessary to meet the employment target. The structural adaptation and rationalisation measures within Irish industry especially since the early seventies have resulted in an acceleration in the relative share of productivity in the growth process. The White Paper projections took account of these factors in projecting an average growth of productivity which although higher than the long-run average, is somewhat lower than experienced since the recession. The

industrial strategy devised to achieve the industrial employment target recognises the need to encourage industries with a high labour content, especially the smaller firms, which will have an important role in improving inter-industry linkages. However, the projected growth of non-agricultural output demands an expansion of exports and investment which considerably exceeds the long-run average. Thus, without considerable change from historical trends, the present growth and employment targets will be difficult to reach.

The ambitious nature of the output and employment targets and the discussion of the accompanying problems outlined above, raises the question whether it would be possible to achieve the medium-term employment target with somewhat lower growth and external deficit by changing the pattern of demand and output: Given the balance of payments constraint, it could be thought that the 6 per cent annual increase projected for private consumption is excessive. However, the premise underlying the projection is that the targets for export and investment growth can be achieved. The projected growth in personal consumption is conditional on the realisation of these targets, as in the event of a significant shortfall on exports, and investment, the entire strategy would be reviewed. In addition, the projected increase in employment implies that the increase in personal consumption per person employed would be about 3½ per cent. However, an even slower increase in consumption would represent a worthwhile improvement in living standards and involve less pressure on the balance of payments. It would also imply somewhat lower income rises. Nevertheless it may be desirable to consider whether the unemployment target could be achieved by a different pattern of production and a lower overall growth rate by putting more emphasis on the development of service industries and the improvement of the economy's infrastructure.

Public finance and monetary management

The projected growth rate and the pattern of expenditure also have important financial implications. Under the development programme it is envisaged that the Exchequer financing requirement will be reduced from 13 per cent of GNP in 1978 to 8 per cent in 1980. A similar change in general government net lending seems probable. At the same time the deficit on external account is expected to rise by about 2 per cent of GNP to around 6¼ per cent by 1980. As noted earlier, the development plan recognises that the financing of investment and the public sector deficit up to 1980 are two main constraints on the growth target. And it is clear that the projected financial changes will require careful management if these constraints are to be minimised.

More recent changes in the public sector accounts and the implications for monetary management were discussed in the previous section. The main features of these developments of relevance for the period up to 1980 are the sharp increase in the Exchequer borrowing requirement from 10.2 per cent of GNP in 1977 to 13 per cent in 1978, and the narrowing of the total public sector revenue base as a result of the 1978 budget decisions. Although the national development programme envisages a reduction in the public sector borrowing requirement by 1980 the projected level of 8 per cent will still be comparatively high.

The planned rate of growth of real GNP up to 1980 will by itself add somewhat to the growth of revenues, but the recent taxation measures have had the effect of narrowing the revenue base which will complicate the longer-run task of improving the structure of public sector finances. It is difficult to see how a better balance can be achieved between revenues and expenditures without increasing the burden of taxation or reducing substantially the rise in public sector consumption.

IV SHORT-TERM PROSPECTS AND CONCLUSIONS

Outlook for 1978

On the basis of the present stance of policy, and on developments that have already occurred during 1977, 1978 looks like being another year of buoyant output growth. With a strong investment picture clearly shown from recent investment approval figures, another good year for industrial exports and a very buoyant growth of real disposable income, the growth rate of real output should be about 6 per cent, up from the 5 per cent in 1977. Largely as a result of the recent sharp deceleration in prices, the rate of inflation should also show a marked improvement year-on-year. A number of uncertainties still remain but they relate more to the pattern of development through the year and into 1979 than to the likely year-on-year results. Among the uncertainties, the most important probably concern the development of costs through the year and the likely size of the deterioration in the current account deficit.

As noted earlier the National Pay Agreement provides for an increase in basic rates for non-agricultural wages and salaries of 7 per cent within 1978. After allowing for the carryover effects from the previous year, about 5 per cent, the year-on-year increase could be about 12½ per cent. With 3½ per cent added for wagedrift and a 2 per cent increase in employment, the total non-agricultural wages and salary bill is forecast to rise by about 18 per cent. Profits are forecast to rise by about 20 per cent, somewhat slower than 1977 reflecting the changed influence of sterling's movements between the two years. Agricultural incomes, however, may only increase by about 12 per cent. After taking account of income tax changes in the budget, real personal disposable income could rise by a substantial 8 per cent, thus providing scope for a marked increase in private consumption as well as higher savings. The average savings ratio is likely to rise somewhat this year partly because the increase in disposable income may be seen as exceptional and because there are lags between income and consumption. On the other hand, this will be offset to some extent by the fact that wages will be making a much bigger contribution to the growth of real disposable income than they did in the two previous years. On balance, the rise in the saving ratio may be rather small with private consumption growing by about 7 per cent.

Public consumption is also expected to rise strongly (5 per cent), somewhat lower than the estimated increase in the central government's current expenditure on goods and services. The public capital programme for 1978 is estimated to increase by 16¼ per cent, about 4¾ per cent in volume terms with the allocation for building and construction increasing by 40 per cent. Demand in the private sector of industry is also buoyant and, reflecting this, investment in building and construction is forecast to rise by about 10 per cent. Investment in plant and machinery is expected to continue at a high rate in 1978 though with some deceleration from the 15 per cent recorded last year.

The buoyancy of domestic demand should lead to a strong rise in import volumes. The growth of imports will probably be further encouraged by the likely composition of demand. As in 1977, strong investment demand — which has a high import content — will again be an influence but in addition the rapid rise in disposable incomes and attendant consumer durable purchases should also play a role. The forecast assumes that imports will increase by 12½ per cent in

Table 14 **Short-term forecasts**
Percentage volume change from previous year

		1976 £ million	1977	1978
1	Private consumption	2 845	4¾	7
2	Government consumption	855	2	5
3	Fixed investment	1 075	8	10
4	Final domestic demand	4 775	5	7½
5	Change in stockbuilding[1]	34	(¾)	(¼)
6	Total domestic demand	4 809	5½	7½
7	Exports	2 154	12½	10½
8	Imports	−2 490	12¾	12½
9	Change in foreign balance[1]	−336	(−1)	(−2.1)
10	GDP	4 473	5.1	6
Memorandum items:				
Consumer prices		18	13.6	8
Balance of payments deficit (£ million)		138	120	270

1 Change as per cent of GDP.

volume. At the same time export volumes are forecast to rise by 10½ per cent (down from 12½ per cent in 1977) despite a pick-up in agricultural exports compared with last year. The deceleration in industrial exports is partially a reversion to trend after last year's exceptional performance. The forecast changes in export and import volumes give a negative contribution to GDP of about 2 per cent which would leave real GDP in 1978 about 6 per cent higher than in the previous year. With export prices assumed to grow slightly faster than import prices, the above figures are consistent with the current deficit widening to about £270 million.

Although the major proportion of the growth in output will be absorbed by productivity gains, nevertheless, the expansion in non-agricultural employment may be of the order of 2 per cent this year. However, because of the decline forecast in agricultural employment and the expected growth in the labour force, the decline in the level of registered unemployment may be considerably less.

With the momentum of the recent sharp fall in the inflation rate still being felt into 1978, the year-on-year increase in the CPI is forecast to be about 8 per cent, down from 13.6 per cent in 1977. This may seem a remarkably good performance considering that over the same two years the increase in rates of pay for non-agricultural wage and salary earners is assumed to only decelerate from about 17 per cent to 16 per cent. The favourable price performance expected is mainly due to government taxation measures and the productivity gain between the two years. This was also assisted by the continued decelerations in export and import prices coming from moderate price trends prevailing abroad and reinforced by sterling's appreciation during 1977. Although these between-year developments have been extremely favourable, it is not clear that the conditions will continue through the year. In particular, if wage rates were to show any tendency to accelerate through wagedrift, problems could arise in the course of the year, although it is not clear to what extent it would be the rate of inflation or profits and employment that had to make the adjustment.

Conclusions

During the last couple of years, the Irish economy achieved a much healthier recovery than was generally felt to be possible during the recession years of 1974

and 1975. The growth of output has been one of the fastest in the OECD area, with the major stimulus coming from buoyant exports and fixed investment. Inflation has been halved to a figure in line with the OECD average and the average rate in 1978 will be considerably lower than in 1977. This strong domestic expansion has been achieved during a period of generally subdued world demand without any major consequences for the current account of the balance of payments. Indeed during 1977, when real GDP growth exceeded 5 per cent, the current external deficit was lower than in the previous year.

Problems still remain, however, which are not amenable to quick solution. The major one is the very high level of unemployment which has prevailed for a number of years and the present stance of economic policy and the White Paper on National Development 1977 to 1980 have as their first goal the creation of large-scale employment. But clearly, the achievement of the employment objective may be difficult. It will demand the continued rapid expansion of the industrial base, the improvement of inter-industry linkages to strengthen the employment multiplier within the industrial sector, and a strong response in the (private) services sector to the growth in output. To a considerable extent the task is probably complicated by the dual structure of Irish industry, productivity and trade, the growth of employment in the newer more capital-intensive industries being insufficient to permit a sizeable reduction in unemployment after allowing for the growth of the labour force, the outflow from agriculture and the redundancies in the older labour-intensive traditional industries. Moreover, the new industries are heavily oriented towards export markets so that changes in the rate at which domestic demand expands do not markedly affect their level of activity or the rate at which they increase employment.

The high growth strategy and the pattern of expansion as officially projected in 1978 to 1980 would seem to be subject to a number of uncertainties as has been acknowledged by the Government. The two most important probably concern inflation and the balance of payments:

i) Although substantial progress has recently been made in reducing both the rate of price increase and the rise in labour costs, it is important that these trends are maintained. But rapid growth could exacerbate cost pressures and reduce competitiveness in which case employment prospects would be adversely affected. Moreover, unless restraint on the rise of incomes is pursued, the investment targets may be jeopardised.

ii) On the basis of official projections, the current external deficit is espected to increase sharply. If external markets proved less buoyant than expected, or if the share of Irish goods in foreign markets did not increase, then the shortfall in the exports forecast would imply a widening of the external deficit. However this would be partially offset by a corresponding reduction in imports of intermediate goods for use in the export-oriented firms. If the shortfall was sizeable the entire growth strategy would require review.

Discussion of the main factors other than aggregate growth which determine employment is hampered, however, by inadequate statistics which has limited the analysis of the workings of the Irish economy. Improvements in both areas would considerably improve the formation of policy.

While policy has given considerable emphasis to labour-supporting measures, it could be that a slower growth of private consumption than projected in favour of more direct labour-market measures would be preferable in the interests of employment. For example, the possibilities of employment-creation in the service industries should be reviewed. Such a strategy may also help to reduce the associated inflation and balance of payments problems. The policies already in place

will largely determine the outcome in 1978, but it would seem important that steps are taken to ensure a viable expansion in the medium term. The most pressing issue is likely to be wage and salary developments particularly as they may affect competitiveness.

As sustained growth depends on export performance and if traditional industries are not to be run down too rapidly through import-competition, it is essential that the rate of increase in Irish wages and salaries is reduced. Despite the generous fiscal boost to incomes since last July, the recent wage agreement cannot be viewed with equanimity as it might result in a faster rise in labour costs than in many partner countries. It is essential that pay increases under the 1978 agreement are closely monitored to ensure strict compliance with its provisions and that the effect of the agreement does not lead to excessive cost increases. If policy is to be successful, it is essential that wages rise markedly less over the medium-term than elsewhere, a result which may not be forthcoming without an effective incomes policy. The development of a consensus approach to wage formation actively involving all social partners may offer the best solution. As noted in Part III, it is important for the authorities to continue to stress the benefits for employment and the standard of living which can flow from moderate nominal wage rises through improved competitiveness and the incentive to invest. Durable growth in the standard of living through higher real incomes is more likely to be achieved with lower nominal wage rises and price increases than is the case with pay agreements that threaten competitiveness and necessitate restrictive demand management. A successful incomes policy which improved competitiveness could also act to slow the rise in personal comsumption and at the same time avoid undue strain on the balance of payments, by allowing a more sustainable pattern of expenditure.

Another important issue is the Exchequer borrowing requirement which in 1978 is estimated to equal about 13 per cent of GNP. If it is felt desirable to avoid an excessive growth of the monetary aggregates over the medium-term and consequent strain on the balance of payments, a number of adjustments in the monetary sphere may be necessary. In addition to the necessary condition that control would have to be exercised over monetary inflows, a substantial part of the Exchequer borrowing would have to be financed by tapping the savings of the non-bank public. The rapid introduction of a new monetary instrument — as foreshadowed in the 1978 Budget — could be helpful. Also, after the rapid growth in 1976 and 1977, it may be desirable under certain circumstances to limit the expansion of lending to the personal sector. In addition to limiting the rise in the monetary aggregates it is desirable to substantially reduce the public sector deficit.

Annex

CALENDAR OF MAIN ECONOMIC EVENTS

1976

18:h October

Five new tranches of Government stocks of nominal value £90 million were issued.

26th October

Increase in bank lending and deposit rates of between 0.75 and 1.5 percentage points from close of business on 27th October were announced.

27th October

The Employer-Labour Conference met for preliminary negotiations for a new National Pay Agreement.

29th October

The Irish Building Societies' Association announced increases in mortgage rates of over 2 percentage points, to 13.95 per cent, and investment rates of 1.5 percentage points, to 9 per cent, effective from 1st November.

5th November

Four new tranches of Government stocks of nominal value £80 million were issued.

9th November

It was announced that a loan of US $ 300 million by a consortium of banks had been finalised. The loan is for seven years and carries an interest rate for the first five years of 1.375 percentage points over the London Interbank Overdraft Rate. The purpose of the loan is to help finance the 1978 capital Budget.

10th November

Three new tranches of Government stocks of nominal value £40 million were issued.

3rd December

According to European Investment Bank estimates the inflow of foreign private capital into Ireland decreased to £5 million in 1975 compared with an inflow of £144 million in 1974.

8th December

Tax cuts proposed which would increase disposable incomes by between 3 per cent and 4 per cent in 1977 in return for a pay freeze.

17th December

The European Investment Bank granted loans of £16 million for the development of the telecommunications service. The loans are for twelve years at 8.875 per cent per annum.

21st December

Agriculture Ministers of the member States of the EEC agreed to an 8 per cent devaluation of the Irish green pound from 17th January, 1977.

23rd December

Eleven tranches of Government stocks of nominal value £55 million were issued.

31st December

The Central Bank of Ireland minimum rediscount rate was fixed at 14.25 per cent per annum with effect from 1st January, 1977.

1977

4th January

Exchequer returns for 1976 showed that total revenue was £1 470 million compared with an estimate of £1 356 million projected in the January Budget. Total current spending for the same period was £1 672 million compared with a projected £1 682 million.

11th January

Seven new tranches of Government stocks of nominal value £80 million were issued.

18th January

Four tranches of Government stocks of nominal value £50 million were issued.

19th January

CSO figures showed that the trade deficit for 1976 was £479 million compared with £257 million in 1975.

20th January

Ireland was allocated a further £1.3 million for investment projects from the EEC Regional Development Fund. More than £23 million of the £35 million to be allocated to Ireland in the period 1975-78 has now been allocated and some 200 projects have received assistance.

21st January

The Employer-Labour Conference agreed on the final text of the terms of a new National Pay Agreement to last for fourteen months. The agreement provided for increases in wages and salaries of between £4 and £8.36 per week payable in two phases. The terms have to be ratified by the employer organisations and the Irish Congress of Trade Unions.

26th January

The Minister for Finance introduced the Budget for 1977 which included increases in social welfare payments, incentives to industry, cuts in income tax and corporation tax. The Budget also included the extension of income tax to farmers with holdings of rateable valuation of £75 or over.

31st January

The Central Bank of Ireland minimum rediscount rate was fixed at 12.5 per cent per annum with effect from 1st February.

16th February

Irish Banks' Standing Committee announced a reduction of 0.75 of a percentage point in lending rates, effective from the close of business on 17th February.

21st February

The Government announced that a total of £7.3 million is to be made available in 1977 for overseas development aid, compared with expenditure of £4.6 million in 1976 and £3 million in 1975. The provision for 1977 represents 0.14 per cent of GNP compared with 0.04 per cent GNP four years ago.

22nd February

The 1977 National Pay Agreement was ratified by the Irish Congress of Trade Unions and the employer organisations.

24th February

The creation of a new Government short-dated stock, the 11½ per cent Finance Stock 1981 was announced. The stock was priced at £97.5 with a redemption yield of 12.24 per cent.

10th March

The Central Bank of Ireland minimum rediscount rate was fixed at 11 per cent per annum with effect from 11th March.

14th March

Further tranches of Government stocks of nominal value £60 million were issued.

22nd March

Irish Banks' Standing Committee announced a reduction of 2 percentage points in most interest rates with effect from the close of business on 24th March.

1st April

Four of the five members of the Irish Building Societies Association announced reductions in their investment rates and their mortgage rates to 7 per cent and 11.5 per cent respectively, to take effect not latter than 18th April.

14th April

The Central Bank of Ireland minimum rediscount rate was reduced from 11 per cent to 8.80 per cent.

21st April

The creation of a new long-dated stock, the 13 per cent Finance Stock 1977/82 was announced. The stock was priced at £93 with a flat yield and a redemption yield of 14 per cent. In the first three months of 1977, new stocks totalling £253 million were issued.

4th May

Irish Banks' Standing Committee announced a reduction of 1 percentage point in interest rates effective from the close of the day's business.

6th May

New tranches of three existing short-dated Government stocks of nominal value £50 million were created.

11th May

The EEC Commission announced the allocation of £6 million to Ireland from the Community's Regional Fund. Of the £35 million designated for Ireland for the period 1975-77, £22 million was allocated between 1975 and 1976.

13th May

The Central Bank of Ireland minimum rediscount rate was reduced from 8.80 per cent to 7.75 per cent.

16th June

General election.

24th June

The Central Bank announced measures to curb the inflow of foreign capital into the banking system, in order to control the expansion of the money supply. The measures involved the reimposition of the requirement that banks deposit 50 per cent of their foreign capital inflow with the Central Bank.

5th July

Formation of Department of Economic Planning and Development announced.

11th July

The Government approved plans to raise £32 million from a bond issue of yen 15 billion on the Tokyo market. The bonds are for 12 years at 8 per cent per annum.

15th July

Government Information Services announced a further commitment of £4.6 million to Ireland from the European Regional Development Fund, bringing the total allocated to Ireland since the beginning of 1977 to £12 million.

29th July

It was announced that Ireland is to receive £9.4 million from the European Social Fund following the Commission's approval of the first series of 1977 applications for assistance from the Fund for vocational training activities.

29th July

Four tranches of Government stocks of nominal value £55 million were issued.

22nd August

Irish Banks' Standing Committee announced a reduction of 1 percentage point in interest rates with effect from the close of business on 23rd August.

26th August

The Agricultural Credit Corporation announced a reduction of 1 percentage point in its lending rates, effective 1st September.

30th August

Irish Building Societies' Association announced a reduction of 1 percentage point in the mortgage rate and a reduction of 0.9 of a percentage point in the investors' rate, effective from 1st October.

1st September

The operational role of the Central Bank of Ireland in the foreign exchange market was reduced so as to encourage interbank dealing.

2nd September

Five tranches of Government stocks of nominal value £90 million were issued.

6th September

The Central Bank of Ireland minimum rediscount rate was reduced from 7.75 per cent to 6.60 per cent.

9th September

Four tranches of Government stocks of nominal value £65 million were issued.

19th September

A series of measures designed to increase the number of jobs provided by small industry were announced. The development, costing a total of £2 million, gives rise to 800 jobs.

23rd September

Six tranches of Government stocks of nominal value £85 million were issued.

At the first of a series of meetings with the Irish Congress of Trade Unions, the Prime Minister announced plans for the establishment of an industrial development consortium in an effort to increase employment.

4th October

A new short-dated Government stock, the 8 per cent Finance Stock 1980 was issued. The issue was for a total of £25 million of which £20 million was allocated to departmental funds.

11th October

The Central Bank of Ireland minimum rediscount rate was reduced from 6.60 per cent to 5.10 per cent.

14th October

Government Information Services announced that the European Investment Bank granted a loan of £12 million for 15 years at 8.55 per cent per annum to Ireland to finance factory building by State agencies.

18th October

Four tranches of Government stocks of nominal value £50 million were issued.

27th October

Irish Banks' Standing Committee announced a reduction of 1 percentage point in interest rates effective from the close of business on 1st November.

15th November

The Industrial Development Authority announced that five new American-sponsored companies are to commence projects in Ireland which will provide 2 000 jobs when fully operational. The total cost of the investment will be £13.5 million.

The Irish Building Societies' Association announced a reduction from 10.5 per cent to 9.5 per cent in the mortgage rate, effective 1st December. The deposit rate was reduced from 6.3 per cent to 5.5 per cent.

18th November

Interest rates on Post Office Savings Bank deposits and Trustee Savings Bank deposits and investment accounts were reduced by 2 percentage points, the first reduction since 1973.

23rd November

Alcan Ireland announced that it is to construct an aluminium plant costing £280 million in the Shannon estuary. The enterprise will be the largest capital investment project ever undertaken in the State.

6th December

At the two-day European Council meeting in Brussels a Regional Development Fund of 1 850 million European units of account (£1 203 million) was agreed for the next three years. Ireland's share will be £75 million. It was also agreed in principle that Ireland's contribution to the EEC budget will increase by £20.5 million next year to about £44.5 million

8th December

The Central Bank minimum rediscount rate was raised from 5.10 per cent to 6.75 per cent.

1978

13th January

White Paper — National Development 1977-1980 published.

27th January

The Public Capital Programme for 1978 was published. The programme which accounts for about half of gross fixed investment provides for an increase of about 16¼ per cent, around 4¾ per cent in volume terms. The largest increase is for housing, 40 per cent, while subtantially increased provision is also made for telephones, energy and other projects.

1st February

1978 Budget presented to the Dáil. It contained an estimated current account deficit of £405 million (about 6.4 per cent of GNP) compared with £201 million (3.7 per cent of GNP) in 1977 and a total exchequer borrowing requirement of 13 per cent of GNP compared with 10.2 per cent in 1977. The main measures contained in the budget were:

i) Expenditure of £85 million to achieve specific job-creation targets. 11 000 additional posts in the public sector, an extra 6 600 jobs in building and construction and youth employment schemes to generate about 5 000 jobs.

ii) Increases in personal income tax allowances of £200 and £630 for single persons and married persons respectively at an estimated cost of £63 million in 1978 and £97.6 million in a full year.

iii) The three-year scheme introduced in the 1977 budget which provided for a special 25 per cent rate of corporation tax was modified. The special rate in 1978 and 1979 is obtainable to manufacturing companies if they acheve an employment increase of 3 per cent in each year. The additional condition of a 5 per cent increase in the volume of sales has been dropped.

ivi) Free depreciation is available to industrialists for expenditure on new industrial buildings with effect from 2nd February. Free depreciation is to be allowed for new plant and machinery as a continuing feature of capital allowances arrangements for the whole country.

v) The corporation tax thresholds for small companies were raised from £10 000 (35 per cent rate) to £25 000 and from £15 000 (45 per cent rate) to £35 000. The new thresholds apply to profits from 1st January, 1977.

vi) Wealth tax to be abolished with effect from 5th April 1978. The cost in 1978 is estimated to be £8.5 million.

vii) For capital gains tax there is to be a sliding scale for most assets. The new sliding scale will start (from date of acquisition of the asset) at 30 per cent and reduce in 3-year spans to zero after 21 years. The scheme is to take effect from 6th April 1978 and as the tax is paid in arrears there will be no cost in 1978.

viii) In relation to the taxation of farm incomes the notional basis of assessment as an alternative to assessment on the basis of accounts was retained and the following changes were made: the multiplier for assessing notional incomes was increased from 65 to 90 and the threshold for liability to income tax was reduced from £75 to £60 rateable valuation. This latter measure is expected to increase the number of farmers paying taxation by about 7 000.

ix) Weekly social welfare payments, including health allowances are to be increased by 10 per cent from 1st April. However, as a result of the continuing growth in farm incomes unemployment assistance rates for smallholders whose net land valuation exceeded £15 but not £20 are excluded from this increase.

16th February

Proposals for a 1978 National Pay Agreement announced. The proposed agreement is of 15 months duration and is in two phases. The first phase, of 12 months duration provides for increases in basic pay of 8 per cent or £3.50 a week whichever is greater. The second phase, of 3 months duration provides for a two per cent increase in basic pay. In addition to the increase provided for under the first phase of the proposed agreement there is a provision for the negotiation of further increases of up to 2 per cent in basic pay at industry or firm level.

22nd March

The terms of the proposed 1978 National Pay Agreement were ratified by the Irish Congress of Trade Unions.

STATISTICAL ANNEX

Table A **Expenditure on gross national product**

	1967	1968	1969	1970	1971	1972	1973	1974	1975	1976[1]
					(a) *£ million at current prices*					
Consumers' expenditure	794.0	906.0	1 028.8	1 141.3	1 282.7	1 477.8	1 747.0	2 007.6	2 366	2 845
Public authorities' current expenditure	148.5	168.2	196.2	239.1	285.8	347.5	428.4	523.0	700	855
Gross fixed capital formation	220.9	258.4	332.5	361.1	433.9	490.3	655.1	776.3	873	1 075
Change in stocks and work in progress	−4.5	16.1	37.1	34.9	14.8	55.4	73.4	93.5	−69	34
Domestic demand	1 158.9	1 348.7	1 594.6	1 776.4	2 017.2	2 371.0	2 903.9	3 400.4	3 870	4 809
Exports of goods and services[2]	417.7	483.6	536.9	598.9	669.1	773.2	1 027.1	1 274.1	1 631	2 154
Aggregate demand	1 576.6	1 832.3	2 131.5	2 375.3	2 686.3	3 144.2	3 931.0	4 674.5	5 501	6 963
less: Imports of goods and services[2]	451.4	563.3	666.1	728.5	803.9	893.1	1 211.0	1 718.3	1 835	2 490
Net factor income from abroad	24.6	31.7	28.3	28.3	26.6	29.6	23.5	36.4	19	16
Gross national product at market prices	1 149.8	1 300.7	1 493.7	1 675.1	1 909.0	2 280.7	2 743.5	2 992.6	3 685	4 489
					(b) *£ million at constant (1970) prices*					
Consumers' expenditure	969.0	1 050.7	1 111.7	1 141.3	1 174.7	1 239.7	1 304.0	1 301.0	1 259	1 294
Public authorities' current expenditure	198.7	208.5	222.6	239.1	260.7	280.2	296.8	320.1	338	345
Gross fixed capital formation	269.3	304.6	360.4	361.1	394.6	404.6	485.9	460.3	430	449
Change in stocks and work in progress	−7.0	19.0	38.8	34.9	14.4	38.0	38.9	48.5	−48	15
Domestic demand	1 430.0	1 582.8	1 733.5	1 776.4	1 844.4	1 962.5	2 125.6	2 129.9	1 979	2 103
Exports of goods and services[2]	504.1	548.2	573.5	598.9	624.0	648.6	722.5	732.8	781	847
Aggregate demand	1 934.1	2 131.0	2 307.0	2 375.3	2 468.4	2 611.1	2 848.1	2 862.7	2 760	2 950
less: Imports of goods and services[2]	542.6	627.4	711.8	728.5	757.8	805.0	964.0	951.4	841	970
Net factor income from abroad	29.4	35.2	30.2	28.3	25.1	26.7	18.7	19.9	9	6
Gross national product at market prices	1 420.9	1 538.8	1 625.4	1 675.1	1 735.7	1 832.8	1 902.8	1 931.2	1 928	1 986

1 Preliminary.
2 Excluding factor income flows.
Source: National Income and Expenditure.

Table B **Production, employment and other economic indicators**

		1967	1968	1969	1970	1971	1972	1973	1974	1975	1976
1	Volume of agricultural output[1] (1968 = 100)	94.6	100.0	98.1	99.9	105.7	110.4	110.6	114.2	128.3	115.5
2	Cattle numbers (thous., mid-year)	5 586	5 572	5 688	5 957	6 134	6 438	6 970	7 215	7 165	6 245
3	Index of industrial production, transportable goods (1953 = 100)	196	218	235	243	253	264	292	296	277	302
	of which:										
4	Mining and quarrying	365	449	494	526	545	549	548	540	528	457
5	Manufacturing	189	208	224	231	240	251	281	285	266	294
6	No. of males engaged in farm work (thousands, 1st June)	308	299	288	274	265	258	251	245	243	235
7	Employment in transportable goods industries (thousands)[2]	187	194	204	208	207	208	214	216	201	201
8	Registered unemployment (thousands)[3,5]	54	56	55	60	65	72	67	72	104	113
9	Weekly hours worked in manufacturing hours[4]	43.5	43.5	43.1	42.5	42.1	42.3	42.4	41.5	41.2	41.8
10	Value of average weekly retail sales (1968 = 100)	92	100	111	122	135	152	179	203	241	285
11	New private cars registered for the first time (thousands)	40.3	51.4	50.5	52.9	51.8	62.6	74.8	61.0	53.1	69.5

1 Net output (incl. value of changes in livestock numbers).
2 Figures are averages.
3 Figures over the years are not comparable owing to changes in coverage.
4 Establishment data referring to the mid-month week.
5 Coverage changes in 1971 have severely affected comparability.

Sources: Irish Statistical Bulletin; OECD, Main Economic Indicators.

Table C **Prices and wages**

		1967	1968	1969	1970	1971	1972	1973	1974	1975	1976
1	Agricultural prices (1953 = 100)	118	130	134	140	150	182	238	242	310	393
2	Livestock price index (1953 = 100)	118	138	144	153	165	204	265	246	315	426
3	Consumer prices[1] (mid-August 1953 = 100)	153	160	172	186	203	220	245	287	347	409
4	*of which:* Food prices	144	153	162	174	187	209	244	280	340	396
5	Wholesale prices (1953 = 100)	138	146	156	165	174	192	225	256	319	380
6	Industrial prices (1953 = 100)	143	149	160	168	177	190	216	259	324	371
	of which:										
	Simply transformed goods	118	123	126	131	134	144	169	209	263	299
	More elaborately transformed goods	152	159	173	182	193	207	234	278	347	398
7	Minimum weekly wages in agriculture (July 1953 = 100)	222	246	284	358	399	436	486	609	747	812
8	Average hourly earnings in transportable goods industries (September 1953 = 100)	232[2]	255[2]	290	340	390	446	540	644	839	954

1 Figures are averages.
2 October.
Source: Irish Statistical Bulletin.

Table D **Balance of payments, 1966-1975**

OECD basis

US $ million

	1966	1967	1968	1969	1970	1971	1972	1973	1974	1975
Exports, fob	719	739	853	950	1 092	1 272	1 582	2 089	2 496	3 076
Imports, fob[1]	972	903	1 122	1 342	1 475	1 655	1 895	2 528	3 467	3 447
Trade balance	−253	−164	−269	−392	−383	−383	−313	−439	−971	−371
Services, net[2]	152	141	157	99	88	82	53	−6	−30	−85
Balance on goods and services	−101	−23	−112	−293	−295	−301	−259	−445	−1 001	−456
Private transfers, net	61	62	77	96	106	115	131	219	321	396
Official transfers, net	−4	−4	−3	−2	−1	−4	−6	−9	−7	−11
Current balance	−44	35	−38	−199	−190	−190	−134	−234	−686	−71
Long-term capital (excl. spec. trans.)	119	70	50	77	151	380	21	267	724	380
(*a*) Private[3]	69	64	44	47	121	343	−31	191	397	24
(*b*) Official	50	6	6	30	30	37	52	76	327	355
Basic balance	75	105	12	−122	−39	190	−114	32	37	309
Non-monetary short-term priv. capital[4]	—	—	—	—	—	1	1	12	−17	−14
Non-monetary short-term off. capital	−6	1	−4	−4	−2	−1	4	−5	−3	−2
Errors and omissions	4	−84	−38	33	34	17	13	33	31	32
Balance on non-monetary transactions	73	22	−30	−93	−7	208	−96	72	48	325
Private monetary institutions' short-term capital[5]	11	−75	136	240	—	—	210	−64	92	75
Assets	119	−50	−18	266	—	—	−215	−1 111	−678	−291
Liabilities	−108	−25	154	−26	—	—	426	1 047	770	366
Balance on official settlements	84	−53	106	147	−7	208	114	8	141	400
Use of IMF credit	1	—	—	—	—	—	—	—	—	—
Miscellaneous official accounts	−1	−2	—	−1	−1	—	—	—	—	—
Allocation of SDR's	—	—	—	—	13	13	14	—	—	—
Change in reserves (+ = increase)	84	−55	106	146	5	221	128	8	141	400
(*a*) Gold	2	2	54	−40	−23	−1	1	2	—	—
(*b*) Currency assets	93	−68	15	176	43	203	108	6	137	403
(*c*) Reserve position in IMF	−11	11	37	10	−28	5	6	—	2	−3
(*d*) Special Drawing Rights	—	—	—	—	13	13	14	—	2	—

1 Original figures for imports were on a cif basis. They are adjusted to fob basis by deduction of 8 per cent representing the estimates cif-fob margin.
2 Services debits include 8 per cent of imports, as an approximation of the freight content of imports not recorded in original figures.
3 Including non-monetary short-term capital.
4 Included in private long-term capital.
5 For 1970 and 1971, data are included in long-term capital.

Sources: Balance of Payments Submissions to OECD; IMF, Balance of Payments Yearbook; Central Statistical Office, Irish Statistical Bulletin; BIS, External Monetary Position of OECD Countries; IMF, International Financial Statistics.

Table E **Foreign trade and payments**

		1968	1969	1970	1971	1972	1973	1974	1975	1976	1977
1	Imports, £ million, monthly averages	43.0	51.1	56.4	62.9	69.8	94.8	135.5	142.0	194.8	256.9
2	Exports, £ million, monthly averages	30.3	33.7	38.9	44.9	54.0	72.4	94.5	120.6	154.9	209.7
3	Trade balance, £ million, monthly averages	−12.7	−17.4	−17.5	−18.0	−15.8	−22.4	−41.0	−21.4	−39.9	−47.2
4	Volume of imports (1968 = 100)	100.0	114.3	118.0	124.1	131.8	158.5	155.2	134.5	155.0	
5	Volume of exports (1968 = 100)	100.0	104.9	113.5	121.7	129.1	141.3	149.3	160.8	167.0	
6	Import prices (1968 = 100)	100.0	104.0	111.1	117.8	123.2	139.1	203.1	245.5	292.0	
7	Export prices (1968 = 100)	100.0	106.1	113.1	121.8	138.2	169.1	209.1	247.6	305.8	
8	Terms of trade (1968 = 100)	100.0	101.9	101.8	103.4	112.2	121.5	103.0	100.9	104.7	
	Reserves ($ million, end of period):										
9	Gold	79	39	16	17	17	18	20	19	19	21
10	Currency assets	418	594	637	911	1 023	911	1 146	1 419	1 686	2 216
11	Reserve position in IMF	48	58	30	38	44	49	52	46	80	80
12	SDR holdings	—	—	13	29	43	48	50	48	53	55
13	Total	545	691	697	995	1 126	1 025	1 267	1 532	1 837	2 372

Sources: Irish Statistical Bulletin; Central Bank of Ireland Quarterly Bulletin; IMF, International Financial Statistics (lines 9-13).

INTERNATIONAL COMPARISONS

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Reference period	Units	Australia	Austria	Belgium	Canada	Denmark	Finland	France	Germany
POPULATION										
Inhabitants	Mid-1976	Thousands	13 916	7 510	9 818	23 143	5 073	4 729	52 921	61 513
per sq. km	»	Number	2	90	322	2	118	16	96	247
Net average annual increase	Mid-1966 to Mid-1976	%	1.8	0.3	0.3	1.4	0.6	0.3	0.7	0.4
EMPLOYMENT Total civilian	1976	Thousands	5 808	2 947	3 718	9 572	2 392	2 144	20 870	24 556
of which: Agriculture, forestry, fishing	»	% of total	6.4	12.4	3.4	5.9	9.3	13.9	10.8	7.1
Industry[4]	»	»	33.2	40.1	39.0	29.7	31.4	34.7	38.1	45.1
Other	»	»	60.4	47.5	57.6	64.4	59.3	51.4	51.1	47.8
GROSS DOMESTIC PRODUCT at market prices	1976	US $ billion[11]	94.12	40.62	65.91	194.60	38.53	28.14	346.76	445.91
Average annual volume growth[6]	1971 to 1976	%	3.5	3.9	3.1	4.6	2.3	3.8	4.1	2.4
Per capita	1976	US $[11]	6 760	5 410	6 710	8 410	7 590	5 950	6 550	7 250
GROSS FIXED CAPITAL FORMATION	1976	% of GDP	23.7[7]	26.0	20.6	23.1	21.5	27.0	23.1	20.7
of which: Machinery and equipment	»	»	7.4[6b]	10.5		7.6	9.2	10.5	9.0	8.4
Residential construction	»	»	5.0[6b]	5.2	6.7	6.4	5.4	6.5	7.2	5.8
Average annual volume growth[6]	1971 to 1976	%	1.0	3.1	2.6	5.3	1.0	1.8	3.3	–1.2
NATIONAL SAVINGS RATIO[12]	1976	% of GNP	23.7[7 22]	27.3	22.1	21.7	16.7	27.1	23.3	24.4
GENERAL GOVERNMENT										
Current expenditure on goods and services	1976	% of GDP	16.2[7]	16.5	17.9	20.1	24.2	19.7	14.7	20.4
Current transfer payments	»	»	10.4[7]	16.1[22]	21.4	12.1	17.5	14.4	24.1	19.1
Current revenue	»	»	32.6[7]	39.1[22]	35.5	36.8	46.5	44.8	42.4	42.2
NET OFFICIAL DEVELOPMENT ASSISTANCE	1976	% of GNP	0.4	0.1	0.5	0.5	0.6	0.2	0.6	0.3
INDICATORS OF LIVING STANDARDS										
Private consumption per capita	1976	US $[11]	3 950	3 040	4 150	4 780	4 430	3 100	4 080	4 010
Passenger cars, per 1 000 inhabitants	1975	Number	368	229	266	374[16]	257	211	289	290
Telephones, per 1 000 inhabitants	»	»	390	281	285	572	454	389	262	317
Television sets, per 1 000 inhabitants	1974	»	227[13]	247	252	366	308	269	235	305
Doctors, per 1 000 inhabitants	1975	»	1.4[13]	2.1	1.9	1.7	1.6[13]	1.4	1.5	1.9[18]
Access to higher education[15]	»	% of relevant age group	39.7	15.9[16]	34.4[16]	49.8[13]	36.3[16]	24.5	31.4[16]	24.2[16]
Infant mortality[17]	»	Number	16.1[16]	20.5	16.2[16]	15.0[16]	10.7[16]	10.3[16]	13.6	19.7
WAGES AND PRICES	Average annual increase									
Hourly earnings in industry[18]	1971 to 1976	%	16.4	12.5	16.4	11.9	16.7	17.9	15.4	8.9
Consumer prices	1972 to 1977	%	13.1	7.7	9.7	8.9	10.8	14.5	10.3	5.7
FOREIGN TRADE										
Exports of goods, fob	1976	US $ million[11]	13 116	8 508	32 844[21]	38 628	9 108	6 342	55 812	102 036
As percentage of GDP	»	%	14.1	21.1	48.9	20.4	23.8	22.3	16.1	22.5
Average annual volume increase	1971 to 1976	%	3.7	7.7	7.3	4.1	4.2	4.0	7.6	7.6
Imports of goods, cif	1976	US $ million[11]	11 196	11 520	35 352[21]	37 956	12 420	7 392	64 392	87 780
As percentage of GDP	»	%	12.1	28.5	52.6	20.0	32.5	26.0	18.6	19.4
Average annual volume increase	1971 to 1976	%	5.6	8.4	6.7	8.4	5.4	4.1	8.6	6.5
TOTAL OFFICIAL RESERVES	End-1977	US $ million	2 384	4 244	5 761[21]	4 608	1 671	570	10 194	39 737
As percentage of imports of goods	In 1977	%	19.5	29.9	14.3[21]	11.7	12.6	7.5	14.5	39.5

	Reference period	Units	Greece	Iceland	Ireland	Italy	Japan	Luxembourg	Netherlands	New Zealand
POPULATION										
Inhabitants	Mid-1976	Thousands	9 165	220	3 162	56 157[2]	112 768	357	13 770	3 116
per sq. km	»	Number	69	2	45	186	299	138	407	12
Net average annual increase	Mid-1966 to Mid-1976	%	0.6	1.2	0.9	0.7	1.3	0.7	1.0	1.5
EMPLOYMENT Total civilian	1976	Thousands	(3 230)	93[22]	1 021	18 930	52 710	147	4 542	1 206
of which: Agriculture, forestry, fishing	»	% of total	(34.3)	15.1[22]	23.8	15.5	12.2	6.1	6.5	11.8
Industry[4]	»	»	(29.0)	37.6[22]	29.8	43.5	35.8	46.3	33.7	34.2
Other	»	»	(36.7)	47.3[22]	46.4	41.0	52.0	47.6	59.8	54.0
GROSS DOMESTIC PRODUCT at market prices	1976	US $ billion[11]	22.04	1.45	7.93	170.77	555.06	2.24	89.52	12.86
Average annual volume growth[6]	1971 to 1976	%	4.8	3.8	2.9	3.2	5.1	1.9	3.5	3.5
Per capita	1976	US $[11]	2 400	6 610	2 510	3 040	4 920	6 280	6 500	4 130
GROSS FIXED CAPITAL FORMATION	1976	% of GDP	21.5[8]	29.5	24.5	20.3	29.6	28.2	19.7	25.2[9]
of which: Machinery and equipment	»	»	8.4	6.0	9.6[22]	8.6	13.4	8.6[22]	8.1	..
Residential construction	»	»	5.8	6.4	6.2[22]	5.8	7.9	7.6[22]	5.0	..
Average annual volume growth[6]	1971 to 1976	%	–0.3	3.1	2.3	0.0	2.5	0.4	–1.6	..
NATIONAL SAVINGS RATIO[12]	1976	% of GNP	19.5	27.9	17.8	20.2	32.3	27.4[22]	24.5	20.6[22]
GENERAL GOVERNMENT										
Current expenditure on goods and services	1976	% of GDP	15.3	9.9	19.5	14.0	10.9	15.5	18.3	18.4[9]
Current transfer payments	»	»	10.9	..	21.9[22]	22.1	9.2	26.2[22]	30.5	..
Current revenue	»	»	29.4	..	34.2[22]	36.5	23.6	50.6[22]	53.5	..
NET OFFICIAL DEVELOPMENT ASSISTANCE	1976	% of GNP	..	..	..	0.1	0.2	..	0.8	0.4
INDICATORS OF LIVING STANDARDS										
Private consumption per capita	1976	US $[11]	1 680	3 980	1 580	1 960	2 790	3 970	3 720	2 380[9]
Passenger cars, per 1 000 inhabitants	1975	Number	48	291	164	257[16]	154	391	249	373
Telephones, per 1 000 inhabitants	»	»	221	417	141	259	405	411	368	502
Television sets, per 1 000 inhabitants	1974	»	106	217[10]	178	213	233	257	259	304[10]
Doctors, per 1 000 inhabitants	1975	»	2.0	1.6[10]	1.2	2.0[18]	1.2[16]	1.1[16]	1.6	1.3
Access to higher education[15]	»	% of relevant age group	..	..	..	31.0	34.3[16]	..	21.1[16]	..
Infant mortality[17]	»	Number	24.0[16]	11.4[16]	17.0[16]	20.7	10.0	14.8	10.3	16.0
WAGES AND PRICES	Average annual increase									
Hourly earnings in industry[18]	1971 to 1976	%	20.8	34.0[19]	19.9	20.8	17.7	..	13.2	11.9
Consumer prices	1972 to 1977	%	16.1	34.7	16.1	16.5	12.9	8.6	8.7	13.0
FOREIGN TRADE										
Exports of goods, fob	1976	US $ million[11]	2 544	396	3 312	36 924	67 224	—	38 748	2 780
As percentage of GDP	»	%	11.5	28.3	42.5	22.6	12.2	—	43.9	22.4
Average annual volume increase	1971 to 1976	%	17.0	..	6.6	6.9	10.1	—	7.0	2.3
Imports of goods, cif	1976	US $ million[11]	6 012	468	4 200	43 368	64 800	—	39 948	2 830
As percentage of GDP	»	%	27.1	33.4	53.8	26.5	11.7	—	45.2	22.8
Average annual volume increase	1971 to 1976	%	6.7	..	5.3	3.7	6.3	—	4.3	5.1
TOTAL OFFICIAL RESERVES	End-1977	US $ million	1 020	100	2 372	11 608	23 261	—	8 065	445
As percentage of imports of goods	In 1977	%		16.3	44.0		32.8	—	17.7	

	Reference period	Units	Norway	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States	Yugoslavia[1]
POPULATION											
Inhabitants	Mid-1976	Thousands	4 027	9 664	35 970	8 219	6 346	41 162	56 001	215 118	21 560
per sq. km	»	Number	12	109	71	20	154	52	230	23	83
Net average annual increase	Mid-1966 to Mid-1976	%	0.7	0.6	1.1	0.5	0.6	2.4	0.2	0.9	(0.9)
EMPLOYMENT Total civilian	1976	Thousands	1 789	3 088	12 535	4 088	2 676	14 710	24 425	87 485	8 887[3]
of which: Agriculture, forestry, fishing	»	% of total	9.4	27.1	21.5	6.2	8.2	63.1	2.7	3.8	47.3
Industry[4]	»	»	33.1	36.3	37.1	35.4	43.9	15.5	40.0	28.7	21.1
Other	»	»	57.5	36.6	41.4	58.4	47.9	21.4	57.3	67.5	31.6
GROSS DOMESTIC PRODUCT at market prices	1976	US $ billion[11]	31.30	15.74	104.62	74.22	56.29	41.06	219.18	1 702.02	32.56[5]
Average annual volume growth[6]	1971 to 1976	%	4.8	4.3	4.9	2.5	–0.4	7.4	1.8	2.9	5.1
Per capita	1976	US $[11]	7 770	1 630	2 890	9 030	8 870	1 000	3 910	7 910	1 510
GROSS FIXED CAPITAL FORMATION	1976	% of GDP	36.3	23.9	22.9	20.6	20.7	20.5[22]	19.2	16.2	34.2
of which: Machinery and equipment	»	»	13.9	6.9[22]	8.9	8.7	6.7	..	8.6	6.8	14.1
Residential construction	»	»	5.1	3.8[22]	6.2[22]	4.0	..	3.7[22]	3.8	3.9	7.4
Average annual volume growth[6]	1971 to 1976	%	7.3	5.8	6.3	1.2	–4.4	11.7	0.0	0.0	4.8
NATIONAL SAVINGS RATIO[12]	1976	% of GNP	26.6	3.8[22]	19.8	20.6	26.3	17.7[22]	18.9	17.4	35.6
GENERAL GOVERNMENT											
Current expenditure on goods and services	1976	% of GDP	17.1	15.4[22]	10.3	25.6	13.4	11.3[22]	21.8	18.7	19.1
Current transfer payments	»	»	13.9	6.9[22]	12.7	22.0	15.5	6.5[22]	15.2	11.8	..
Current revenue	»	»	50.1	24.7[22]	25.7	57.4	34.0	20.5[22]	40.6	31.5	42.2
NET OFFICIAL DEVELOPMENT ASSISTANCE	1976	% of GNP	0.7	..	..	0.8	0.2	..	0.4	0.3	..
INDICATORS OF LIVING STANDARDS											
Private consumption per capita	1976	US $[11]	4 280	1 230	2 010	4 830	5 590	633[22]	2 350	5 110	821
Passenger cars, per 1 000 inhabitants	1975	Number	237	97	136	336	278	8[16]	249	498	72
Telephones, per 1 000 inhabitants	»	»	350	113	220	661	611	25	379	695	61
Television sets, per 1 000 inhabitants	1974	»	256	66	174	348	264	12	315	571	131
Doctors, per 1 000 inhabitants	1975	»	1.7	1.3	1.6	1.6[16]	1.8	0.6	1.3[16]	1.6[16]	1.4
Access to higher education[15]	»	% of relevant age group	40.3[16]	(9.8)[10]	29.3[10]	(31.1)[13]	..	..	21.8[16]	43.2	16.6
Infant mortality[17]	»	Number	10.5[16]	37.9[16]	12.1	8.3	10.7	..	16.0	16.1	39.7
WAGES AND PRICES	Average annual increase										
Hourly earnings in industry[18]	1971 to 1976	%	14.6	16.3[20]	20.8	13.4	7.5	23.6[20]	17.0	7.8	..
Consumer prices	1972 to 1977	%	9.4	16.9[14]	17.2	9.6	5.6	20.4	16.3	7.7	18.7
FOREIGN TRADE											
Exports of goods, fob	1976	US $ million[11]	7 920	1 812	8 724	18 444	14 844	1 960	46 260	114 996	4 556
As percentage of GDP	»	%	25.7	11.5	8.5	25.0	26.2	5.1	21.3	6.8	13.9
Average annual volume increase	1971 to 1976	%	8.4	2.6	11.2	3.1	4.8	..	5.1	8.2	7.1
Imports of goods, cif	1976	US $ million[11]	11 112	4 212	17 460	19 164	14 772	5 129	55 968	121 788	6 881
As percentage of GDP	»	%	36.1	26.8	17.0	26.0	26.1	12.9	25.8	7.2	21.0
Average annual volume increase	1971 to 1976	%	6.4	3.2	10.4	5.6	1.1	..	5.0	4.7	2.5
TOTAL OFFICIAL RESERVES	End-1977	US $ million	2 200	1 076	6 590	3 668	13 830	774	21 057	19 390	2 780
As percentage of imports of goods	In 1977	%			37.1	18.2	77.2	13.5	33.1	13.1	28.8

1 Partly from national sources.
2 Total resident population.
3 Private and socialised sector.
4 According to the definition used in OECD: Labour Force Statistics: mining, manufacturing, construction and utilities (electricity, gas and water).
5 Social product.
6 At constant prices.
6a Private.
7 Fiscal year beginning July 1st.
8 Excluding ships operating overseas.
9 Fiscal year beginning April 1st.
10 1973.
11 At current prices and exchange rates.
12 $\left[\frac{\text{GNP} - (\text{Priv. cons.} + \text{Pub. cons.})}{\text{GNP}}\right] \times 100.$
13 1972.
14 1971 to 1976.
15 Figures are not strictly comparable due to differences in coverage. For more details see " Educational Statistics Yearbook - Volume 1 (1974) and volume 2 (1975) - OECD, Paris ".
16 1974.
17 Deaths in first year per 1 000 live births.
18 Figures are not strictly comparable due to differences in coverage.
19 1971 to 1975.
20 1970 to 1975.
21 Including Luxembourg.
22 1975.

NOTE Figures within brackets are estimates by the OECD Secretariat.

Sources: Common to all subjects and countries: OECD: Labour Force Statistics, Main Economic Indicators, National Accounts, Observer, Statistics of Foreign Trade (Series A); Office Statistique des Communautés Européennes, Statistiques de base de la Communauté; IMF, International Financial Statistics; UN, Statistical Yearbook.

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